

PAGERO



Country Compliance Report: **Brazil**

Information class: Restricted



Country Compliance Report: BRAZIL

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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.



1. Terminology

This section outlines general and country-specific terminology for Brazil, which will be used throughout the whole document.

Term	Explanation
Access Key	Is a unique number assigned to an issued NF-e or CT-e by the supplier at the moment of the generation of the invoice data and allows to uniquely identify the existence of the document. The Access Key has 44 positions and is composed of the fields that are scattered in the layout of XML.
AN	<i>Ambiente Nacional</i> or the National Environment is the single consolidated layer to store all NF-e and CT-e validated with SEFAZ and in some instances can be used as contingency environment, when the SEFAZ of the supplier is not responsive
AoR	Business response from the buyer to the supplier regarding the received document, which can be positive (acceptance) or negative (rejection), and must be issued after the validation of the received document. In Brazil, there are different types of AoR, depending on the invoicing regime: MD-e for NF-e and Disagreement event for CT-e
Authorization Code	(Pt. "<i>Chave de Acesso</i>") Is the unique identifier assigned to the fiscal documents, such as NF-e, CT-e and MDF-e, by the SEFAZ upon a successful clearance validation of the document
Branch	A company in Brazil may consist of several branches located in different states. Each branch has a legal taxation identity (CNPJ) bound to the state where the branch operates. e-NFE certificates are issued per CNPJ, but not all branches need to use their own certificate. Same certificate can be shared between branches operating in the same state. Branches in different states cannot however share the same certificate. If a company decides to share a certificate between branches registered within the same Brazilian

	state, it is recommended to double check that their corresponding CNPJ's have the same prefix
CCM (Municipality Tax ID)	The supplier receives a Municipality Tax ID (Pt. <i>Cadastro de Contribuintes Mobiliários</i>) upon registration with the municipality. There can be multiple CCMs registered per company's CNPJ, depending on the number of establishments. (compare CNPJ, SPF, CMM and Inscrição Estadual)
CC-e	Correction letter, that can be issued in order to correct minor deviations in the issued NF-e and CT-e, that do not require invoice cancellation
CF-e	Retail electronic receipt (pt. <i>Cupom Fiscal Eletrônico</i>)
Clearance	Process performed by the supplier or its service provider when issuing invoices and having them approved / validated by the country-specific mandatory infrastructure in order to ensure that the supplier has issued a legally valid fiscal document
Clearance notification	Artefact proving that an electronic invoice has been approved by SEFAZ or other relevant mandatory infrastructure
CONFIS	Indirect tax Contribution for Social Security Financing applied on revenue level of the taxpayer (pt. <i>Contribuição para o financiamento da seguridade social</i>)
CNPJ (Federal Tax ID)	Is the identification number issued to Brazilian companies by the Department of Federal Revenue of Brazil in the National Register of Legal Entities (pt. <i>Cadastro Nacional de Pessoas Jurídicas</i>). CNPJ consists of a 14-digit number formatted as 00.000.000/0001-00, where the first eight digits identify the company, the four digits after the slash identify the branch or subsidiary ("0001" defaults to the headquarters), and the last two are check digits (compare CNPJ, SPF, CMM and Inscrição Estadual)
CPF	Is the beneficial tax ID for private individuals, so they can claim credits to the taxes they pay via a lottery system. Unlike CNPJ, it is typically optional under the Brazilian CTC models (compare CNPJ, SPF, CMM and Inscrição Estadual)
CT-e	Electronic Transport services invoice (pt. <i>Conhecimento de Transporte Eletrônico</i>) in Brazil. CT-e is an XML document that contains the invoicing data generated and signed by the supplier, and its clearance provided by the SEFAZ where the supplier is established. The most recent version of the CT-e and other documentation is published at www.cte.fazenda.gov.br

CT-e OS	Knowledge of Electronic Transport for Other Services (model 67) is a document issued and stored electronically with the purpose of documenting transportation service
CTN	The National Tax Code, which is a federal law in Brazil
DACTE	Graphical representation of the CT-e (<i>pt. Documento Auxiliar do Conhecimento de Transporte Eletrônico</i>). DACTE is not a CT-e substitute, but merely an auxiliary document to aid CT-e consultation, as it contains an access key needed to confirm the existence of the original CT-e. It contains a barcode and may also contain other graphics. The DACTE is carried with the vehicle during transportation. The DACTE is also used in the FS/FS-DA contingency process; in this case the DACTE will contain FS/FS-DA specific information and must be printed on official paper (compare DACTE, DAMDFE and DANFE)
DAMDFE	Graphic representation of the MDFe (<i>pt. Documento Auxiliar do MDF-e</i>), is an auxiliary document, which is a printed representation of the MDF-e and must accompany the transport (compare DACTE, DAMDFE and DANFE)
DANFE	Graphical representation of the NF-e (<i>pt. Documento Auxiliar da Nota Fiscal Eletrônica</i>). The DANFE is not an NF-e substitute, but merely an auxiliary document to aid NF-e consultation, as it contains an access key needed to confirm the existence of the original NF-e. It contains a barcode and may also contain other graphics DANFE has to be printed and attached to the goods while these are in transit DANFE is also used in the FS/FS-DA contingency process; in this case the DANFE will contain FS/FS-DA specific information and must be printed on official paper (compare DACTE, DAMDFE and DANFE)
DF-e	DF-e is a service that can be used by the taxpayer to call SEFAZ in order to obtain NF-e or CT-e. Usage of the DF-e is optional, as the supplier has the obligation to send NF-e and/or CT-e to the buyer
ENCAT	National Meeting of State Tax Coordinators and Administrators (<i>pt. Encontro Nacional dos Coordenadores e Administradores Tributários Estaduais</i>)
e-NFE certificate	The e-NFE certificate is used by taxpayers that generate NF-e, CT-e and NFS-e and is generally issued to a representative of the taxpayer. Its validity is limited to represent the company in the process of issuing tax documents. This e-NFE certificate should not be used for any other purposes. The e-NFE certificates are identity certificates and carry no information on the type of invoices that can be signed.

	SEFAZ has authority over which companies can sign different types of invoices, depending on the company's type of business
FCI	Importation Content File (<i>pt. Ficha de Conteúdo de Importação</i>). The taxpayer obtains the FCI number by submitting a text file with item and fiscal classification information to the SEFAZ. SEFAZ returns a file with FCI numbers. The taxpayer has to add the FCI numbers to its item and item/branch records so that the numbers can be included in documents and reports as required, that must be submitted by the taxpayer on a monthly basis for imported goods
GNRE	<i>Pt. Guia Nacional De Recolimento de Tributos Esaduais</i> is a document that you use to pay ICMS substitution tax and is issued by taxpayers that undergo interstate sales operations subjected to <i>substituição tributária</i> , a tax collection mechanism created to avoid double taxation and tax evasion during the production of goods and provision of services
GTV-e	Electronic Delivery Slips for Valuables (GTV-e) will substitute CT-e OS. Authorities consider mandating it starting from September 2022
ICMS	State value-added tax (<i>pt. Imposto sobre circulação de mercadorias e serviços</i>)
ICMS-ST	State withholding tax (<i>pt. Substituição Tributária</i>)
ICP-Brazil	Brazilian Public Key Infrastructure (<i>pt. Infra-estrutura de Chaves Públicas Brasileira</i>) runs the root CA for the Brazilian invoicing system, and is the first authority in the certificate chain. The second level CAs are run by a selected number of companies, which issue end user certificates. There are a number of companies that are subordinated to the ICP-Brazil hierarchy, and can issue, distribute, revoke and manage certificates
Inscrição Estadual (State Tax ID)	A Supplier that wants to issue invoices in a state needs to have a State Tax ID (<i>pt. Inscrição Estadual</i>). The State Tax ID is part of the accreditation process that allows the Supplier to issue invoices in the respective state (compare CNPJ, SPF, CMM and Inscrição Estadual)
IPI	Federal value-added tax (<i>pt. Imposto sobre produtos industrializados</i>)
ISS or ISSQN	Municipal Service Tax (ISS or ISSQN) is an indirect tax levied at the municipal level in Brazil. ISS and ISSQN stand respectively for "Taxation over Services" (<i>pt. Imposto sobre Serviços</i>) and "Taxation over Services of any kind" (<i>pt. Imposto sobre serviços de qualquer natureza</i>)
MD-e	Business response from the buyer to the supplier regarding the received document, which can be positive (acceptance) or negative (rejection) [Accept or Reject notification] (<i>pt. Manifestacao do Destinatario</i>), and must be issued after the validation of the received

	document with SEFAZ. MD-e is required in certain industries and the state of Rio Grande do Sul
MDF-e	The Electronic Manifest of Fiscal Documents (pt. <i>Manifesto Eletrônico de Documentos Fiscais</i>). MDF-e contains an inventory of the fiscal documents involved in a shipment and does not constitute or replace an invoice. The MDF-e must be digitally signed by the issuer and authorized by the competent SEFAZ The purpose of this document is to link multiple CT-e to the transportation method used, inform about the methods of transportation and indicate the route that the goods will follow until they are delivered. MDF-e, similar to CT-e, is issued by the transporter, and is issued together with the CT-e. Once the shipment has been delivered, the issuer must emit an event called <i>Evento de Encerramento</i>
NF-e	Electronic invoice for goods (pt. <i>Nota Fiscal Eletrônica</i>). The NF-e contains the invoicing data generated and signed by the supplier, and its usage clearance provided by the state SEFAZ where the supplier is established. NF-e documents can also be used to amend credit/debit. The field “finNFe” (pt. <i>Finalidade de emissão da NF-e</i>) specifies whether the NF-e is a regular invoice or if it is used to complement or adjust a previously issued NF-e. The most current version of NF-e and other documentation is published on nfe.fazenda.gov.br. See as well “procNF-e”
NF3-e	Electronic Energy Fiscal Note (NF3-e) must be issued by electricity distributors and cooperatives
NF-Com	Communications Fiscal Note (NF-Com) will be mandatory for issuance by communications companies
NFC-e	Electronic invoice to consumers (pt. <i>Nota Fiscal ao Consumidor Eletrônica</i>). It is required to be issued by retailers conducting sales with POS (<i>Point of Sale</i>). It is as well referred to as model 65. NFC-e (model 65) is based on the same technical standards as NF-e (model 55)
NFS-e	Electronic invoice for services (pt. <i>Nota Fiscal Eletrônica de Serviços</i>) is the name of the municipal service invoices in Brazil. NFS-e an XML document that contains the invoicing data generated and signed by the supplier, and its clearance provided by the municipality where the supplier is established. There is a project ongoing in Brazil to harmonise and centralise issuance of NFS-e, however, to-date this process is disharmonised and done on the municipal level
PIS	Indirect tax Contribution for Social Integration Program Financing applied on revenue level of the taxpayer (pt. <i>Contribuição para os programas de integração social e de formação do patrimônio público</i>)

Prefeitura	In Brazil, the prefecture (<i>pt. prefeitura or prefeitura municipal</i>) is the executive branch of the government of each Brazilian municipality. Throughout this document referred to as the “municipality”
ProcNF-e	Is the type of NF-e that includes the Authorisation Code from SEFAZ all in a single file
RFB	Brazil's Federal Revenue Service (<i>pt. Receita Federal do Brasil</i>) responsible for federal taxes IPI, PIS and COFINS
RPS	Provisional service invoice (<i>pt. Recibo Provisório de Serviços</i>) is the document issued by the supplier to the municipality in order to obtain NFS-e. In contingency mode, the supplier is allowed to send the RPS directly to the buyer, provided that it will be reported to the municipality once the contingency circumstances ceased
SEFAZ	The State Tax Office (<i>pt. Secretaria da Fazenda Estadual</i>) is the tax authority with jurisdiction for one of the 26 Brazilian states and the Federal District. Each taxpayer must still be registered with SEFAZ
Simples	Simplified tax regime applicable to micro and small companies that meet specific gross revenue thresholds and other legal requirements
SPED	Brazil's public digital bookkeeping system (<i>pt. Sistema Público de Escrituração Digital</i>), where electronic transactions are recorded
SUFRAMA	The Superintendence of the Manaus Free Trade Zone, an independent Federal Agency under the Brazilian Ministry of Development, Industry and Foreign Trade (MDIC), designated to oversee the Manaus Free Trade Zone (MFTZ) in the Amazon Region
TpEmis	NF-e issuer type (<i>pt. Tipo de Emissário da NF-e</i>)
Tomador	Pt. <i>Tomador</i> (freight cost payer) is the company responsible for paying the freight and thus CT-e must be issued to, which can be <i>Remetente</i> (issuer of the NF-e invoice), <i>Destinatário</i> (recipient of the CT-e invoice), <i>Recebedor</i> (receiver of the goods) or <i>Expedidor</i> (transporter of the goods)
Transporter	Or the <i>Expeditor</i> , in the scope of this document can be both a (i) company that issues CT-e and provides services for transportation by the road, by the railway, by the air or by the water, and (ii) company that issues NF-e and have interstate transportation of goods under more than one NF-e, carried out in own or rented vehicles, or by hiring an independent carrier
UF	Federation unit (<i>pt. Unidade de Federação</i>)



2. General overview

This section provides an initial introduction into the local e-invoicing environment within Brazil, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Ministry of Finance • Internal Revenue Service • Federal taxes IPI, PIS and COFINS - The Federal Revenue Services or RFB (<i>Secretaria da Receita Federal do Brasil</i>) • State tax ICMS - State Finance Secretariats or SEFAZ (<i>Secretarias de Fazenda dos Estados</i>) • Municipal tax ISS - Municipal Finance Secretariats (<i>Secretarias de Finanças dos Municípios</i>) • ENCAT or pt. <i>Encontro Nacional de Coordenadores e Administradores Tributários Estaduais</i> – entity that manages changes to integrations and infrastructure for e-invoicing • ABRASF - Brazilian Association of Finance Secretaries of Capital Cities (pt.: <i>Associação Brasileira das Secretarias de Finanças das Capitais</i>)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• The National Tax Code (CTN) • ENCAT Protocol 03/2005 of August 27, 2005 (NF-e) • COTEPE Act 72/05 of December 22, 2005 (NF-e) • ENAT Protocol 03/2006 of November 10, 2006 • SINIEF Adjustment 09/07 of October 25, 2007

2.1. Additional clarifications

Even though Brazil has had e-invoicing / CTC mandate since a very long time, their clearance model is widely considered to be the most complex in the world.

Due to such complexity, Country Compliance Report (CCR) for Brazil has been split into three separate CCRs, including, but not limited to:

- Goods invoices (NF-e),
- Transportation invoices (CT-e),
- Service invoices (NFS-e),
- Retail receipts (NFC-e),
- Electricity bill (NF3-e).

2.2. NF-e introduction

NF-e is an electronic invoice that registers the supply of goods and certain services. It is an electronic document, and its validity is guaranteed by the electronic signature of the issuer and by the authorization by the tax authority.

The technical specifications and requirements to NF-e are harmonised on the federal level.

2.3. CT-e introduction

CT-e is an electronic invoice that registers the supply of transportation services. It is an electronic document, and its validity is guaranteed by the electronic signature of the issuer and by the authorization by the tax authority.

The technical specifications and requirements to CT-e are harmonised on the federal level.

2.4. MDF-e introduction

Taxable persons issuing NF-e invoices may also be under the obligation to issue the MDF-e. MDF-e contains an inventory of the fiscal documents involved in a shipment and does not constitute or replace an invoice. The MDF-e must be digitally signed by the issuer (that may be the supplier, the buyer or the carrier, depending on the case) and authorized by the competent SEFAZ. DAMDFE, which is a printed representation of the MDF-e, must accompany the transport.

MDF-e is required to be issued in case of transportation across more than one state in Brazil. Some states, e.g. Sao Paulo, require MDF-e to be issued even for transportation within the state, in the event that goods from different suppliers are being shipped by the same transporter.

2.5. NFS-e introduction

Each Brazilian municipality (pt. *prefeitura*) has the autonomy to define its own ISS or ISSQN and its documentation requirements. Therefore, there are as many NFS-e frameworks as there are municipalities in Brazil. From a compliance perspective, this fragmentation means that each municipality has its regulatory framework when it comes to the ISS and NFS-e.

From a technical perspective, ABRASF has tried to solve the fragmentation issue and defined standard technical specifications that municipalities may follow or tailor to its own needs. Many municipalities have deployed ABRASF either directly or via some vendors implementations like GINFES, DSFNet, SAATRI, and others. The changes implemented by municipalities or vendors may deviate from the ABRASF standards, resulting in further fragmentations.

This fragmentation may generate differences at the schema level (e.g. varying content requirements), the applicable timeframes for NFS-e issuance or for rectification processes, such as cancellation, error handling or contingency, among others. The differences can as well exist on the communication level.



3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	Allowed and mandatory to be cleared with relevant mandatory infrastructure
Varying invoicing regimes¹	- Yes, multiple regimes exist, i.a.: - Goods invoice (NF-e) and Transport services invoice (CT-e) must be cleared at the state level of the issuer's jurisdiction - For NF-e, with supplier's / seller's SEFAZ - For CT-e, with transporter's SEFAZ - Aggregation lading document (MDF-e) must be cleared with the Virtual SEFAZ Rio Grande do Sul by all issuers - Service invoice (NFS-e) must be cleared at the municipality level of the supplier, e.g. Sao Paulo Rio De Janeiro
e-Invoicing model	PRE-CLEARANCE for NF-e, CT-e and MDF-e, meaning that e-invoices must be cleared with the mandatory infrastructure prior to exchange between the trading partners POST-CLEARANCE for NFS-e, meaning that e-invoices (RPS) may be cleared with the mandatory infrastructure post exchange between the trading partners - For non- post-audit country, the outlined further in this report may deviate significantly from Pagero's General E-invoice Processing Description which applies predominantly to the post-audit models

¹ It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

	• See CTC models document (link)
e-Invoice definition²	• Please refer to section 1 Terminology
Scope of taxpayers the e-document mandate applies to	• Goods invoice (NF-e) must be issued by all taxpayers who realize any type of commercial activity related to that described in the following legislation • Transport services invoice (CT-e) must be issued by a transporter who performs services by any means land, air, sea, river and rail • Aggregation document of loaded vehicle (MDF-e) must be issued by a transporter, when multiple CT-e and NF-e accommodate the transportation • Service invoice (NFS-e) must be issued by, e.g.: ◦ in Sao Paulo by all taxpayers who realize any type of commercial activity related to providing services, independent of the size of the company (<i>Normativa SF/SUREM nº. 10, de 10 de agosto de 2011</i>), ◦ in Rio all providers of services that are located in Rio (<i>Resolução SMF nº 2.617, de 17/05/2010</i>). • All taxpayers must receive NF-e, CT-e and NFS-e
Mandatory AoR (document response) process	• Issuing MD-e for NF-e to SEFAZ is typically not mandatory, but possible. Varying timeframe applies, for more information see further in the document • CT-e Disagreement (rejection) notification is mandatory in certain industries • NFS-e Acceptance notification is mandatory in the state of Rio Grande del Sul
Implementation / roll-out plan	• At the present, all taxpayers in Brazil are obliged to issue NF-e, CT-e and NFS-e • There are ongoing discussions to harmonise the NFS-e issuance process, however, no final proposal has been presented

² Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law



4. Before switching to e-invoices

4.1. IT³ registration

Companies must register with Federal and State tax authorities if they intend to sell products on a commercial basis. Municipal registration is required if the purpose is to provide services. Registration is mostly electronic and may take 30-90 days.

CNPJ (pt. *Cadastro Nacional de Pessoa Jurídica*) and CPF (pt. *Cadastro de Pessoa Física*) are used in Brazil as **VAT identification number**:

- CNPJ is composed of a base of 8 digits, a 4-digit radical, and 2 check digits. It is usually written like “11.111.111/0001-55”, and
- CPF composed of a base of 9 digits and 2 check digits written like “123.456.789-00”.

Non-established businesses. A non-established business is a business that has no fixed establishment in Brazil. A non-established business is not permitted to register for VAT in Brazil.

Tax representatives. Tax representation is not allowed in Brazil.

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• For NF-e, CT-e and MDF-e • Prior to engaging in e-invoicing the taxpayer must obtain an authorization (pt. <i>Credenciamento</i>) from SEFAZ in the applicable Brazilian state • A company in Brazil may consist of several branches located in different states. If the

³ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

Supplier has multiple branches in different states, each branch must also register as a taxpayer with SEFAZ in the state in which the branch operates. In other words, each branch is required to have a legal taxation identity (CNPJ ID) bound to the state where the branch operates

- e-NFE certificates are issued per CNPJ ID, but not all branches need to use their own certificate. A given certificate can be shared between branches operating in the same state. Branches in different states cannot, however, share the same certificate
- The taxable persons have the possibility to register their e-mail with SEFAZ
- **For NFS-e**
- The taxpayer must register on the relevant prefeitura's website using its digital certificate, together with CNPJ ID and CCM ID to obtain authorisation
- At the moment of registration, the system requests the taxpayer to give an e-mail address. This e-mail address can be used, if the taxpayer (as a buyer) selects to receive all NFS-e from the municipality instead of from the supplier
- If the supplier and buyer are located in different municipalities, the supplier will always issue the e-document in the municipality (e.g. São Paulo or Rio de Janeiro) where it is registered, regardless of the location of the buyer or where the service was performed
- **e-NFE certificate**
- In order to be able to sign fiscal invoices (NF-e, CT-e NFS-e), the taxpayer needs to enrol for e-NFE certificates from a Brazilian sub-CA that is accredited by the ICP-Brazil CA. See [this link](#) for more information on how to enrol for new or renewed e-NFE certificates from an accredited Brazilian sub-CA
- The validity of e-NFE is limited to a certain period and restricted to a person representing the taxpayer in the process of issuing an invoice. A company must have a CNPJ before requesting the certificate
- There are 2 types of certificates known as A1 and A3. A3 e-NFE certificates are used to represent the company for other legal acts beyond e-invoicing. It is recommended that

	the taxpayer enrolls for a type A1 certificate to be used exclusively for signing NFS-e • Company branches must register with the municipality of e.g. Rio de Janeiro or São Paulo in order to issue e-invoices
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• No explicit regulations
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• No explicit regulations

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Issuance “in the name and on behalf” is not applicable; only technical outsourcing
Whether statement of outsourced issuance is required on the invoice	• Not required, however, the name of natural person responsible for the technical aspects of issuance must be listed with contact information in the e-document, e.g. name of the managing director of company, which software is used to issue e-invoices
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• Outsourcing of technical signing requires supplier's key delegation for which an express agreement authorizing its usage is advisable
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• Signing certificate and key delegation covenant between the taxpayer (supplier) in Brazil and Pagero/Gosocket to apply the signature to the invoice on behalf of the taxpayer • Signing certificate and key delegation covenant between the taxpayer (supplier) and Pagero/Gosocket to securely manage the certificate and key
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• Not applicable

Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• No explicit requirements
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4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Brazil has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).



5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	B2B
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• NF-e, CT-e and MDF-e: XML's harmonised on the federal level ◦ Presentation: DANFE for NF-e, DACTE for CT-e and DAMDFE for MDF-e • NFS-e: XML's established on municipal levels • Official paper for fiscal documents in contingency mode
Other document format(s) commonly used for exchange between trading parties	• n.a.
Mandated platform(s) required to have connection with for e-document processing	• NF-e: SEFAZ of the supplier's jurisdiction or Virtual SEFAZ • CT-e: SEFAZ of the transporter's jurisdiction or Virtual SEFAZ • MDF-e: Virtual SEFAZ Rio Grande do Sul • NFS-e: municipality of the supplier's jurisdiction, e.g. • São Paulo Prefeitura • Rio de Janeiro Prefeitura
Other platform(s) relevant for e-document processing	• n.a.
Schematron(s), XSD schema or other official mechanisms ensuring document content	• For NF-e • For CT-e • For MDF-e • For NFS-e Sao Paolo • For NFS-e Rio de Janeiro

Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• E-mail address of the buyer irrespective of the regime • SEFAZ do not hold any public e-mail register, therefore, such information must be exchange directly between the trading parties outside of the e-invoicing system • Some municipalities may be holding e-mail addresses of the trading parties, as they may be acting as exchange platform, but the variation whether such information is available or possible to access varies significantly between the municipalities. It is therefore recommended that the trading parties exchange e-mail addresses directly between each other
Other technical aspects	• n.a.

5.2. Communication with mandatory infrastructures

Regulations in Brazil foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	NF-e, CT-e and MDF-e (separate connections though) • SEFAZ provides the following services: 1) NF-e / CT-e reception (single transactions or batch), 2) NF-e / CT-e number cancellation, 3) Consultation of the current status of NF-e / CT-e, 4) Event registration. • For each service offered there is a specific Web Service • The Web Service always returns a response message confirming receipt of the service request to the taxpayer • Services can be synchronous or asynchronous NFS-e (Sao Paulo) • Communication between the taxpayer's systems São Paulo municipality's system can be both a synchronous and an asynchronous web service • The synchronous web service of the São Paulo municipality provides the following features: a) Sending RPS, b) Sending RPS batch, c) RPS batch submission test, d) NFS-e consultation, e) Received NFS-e consultation, f) Issued NFS-e consultation, g) Batch query, h) Batch information query,

	i) NFS-e cancellation, j) CNPJ ID query. • The asynchronous web service of the São Paulo municipality provides the following features: k) Sending RPS in batch, l) RPS Lot situation query, referring to service "k", m) RPS Batch Submission test, n) Guide issue (tax payment instruction) o) Status issue of Guide query (for service N above), p) Guide query. • There will be a single synchronous web service with services above A to J, and a single asynchronous web service with services above K to P. The communication flow is always initiated by the taxpayer's system • In synchronous web service, the service request will be handled on the same connection, with the return of an XML message containing the return of the processing of the requested service • In the asynchronous web service, service requests "RPS batch submission", "RPS batch submission test", and, "Tab issue" are sent to a queue and return an XML message containing a protocol, which must be saved by the requester in order to use for consultation of the status of the application later • Other asynchronous web service requests will be served on the same connection, with the return of an XML message containing the return of protocol processing or requested service
	NFS-e (Rio de Janeiro) • Production environment • Homologation environment
Manual	• SEFAZ does not offer any web portal • NFS-e Sao Paolo • NFS-e Rio de Janeiro
Other options	• NF-e and CT-e: SMEs can use this free solution that used to be administered by the government, but is now administered by an NGO that helps entrepreneurs and small businesses • NFS-e: each municipality may be providing own portal solution in order to work with NFS-e invoices

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

5.3.1.1. NF-e

All NF-e must be issues within the same calendar month when the goods is sold.

1. **The supplier** (or branch, if applicable) must generate an electronic file in the local XML format following the NF-e requirements containing the relevant tax information of the commercial transaction, which must be digitally signed with e-NFE certificate and keys issued to the supplier or the branch to ensure I&A.
2. **The supplier** must clear NF-e with SEFAZ of its jurisdiction before the shipping
 - a. Trucks without proper documentation are stopped and released only after fines are paid. On the receiving side, many companies will not allow a truck to unload with an incorrect invoice.
3. **SEFAZ** will validate the content and integrity of the document, and either approve, reject or deny the transaction
 - a. There is no established response time SLA, due to the contingency mode. From practice, the response time is within minutes.
4. **If the NF-e has been approved:**
 - a. **SEFAZ** will issue proof of clearance - an Authorization (pt. *protocolo*)
 - i. **SEFAZ** will transmit the document to (i) the RFB (the Federal Revenue Service) and AN (the National Environment) as the national repository of all issued documents, and (ii) the SEFAZ of the buyer's jurisdiction or SUFRAMA, in case of inter-state transactions,
 - ii. **SEFAZ** may as well issue either a Rejection or a Denial. More on this under the section 5.8 below.
 - b. **The supplier** must distribute the NF-e with Authorisation (can be embedded or as attachment) and, optionally, a graphic presentation DANFE to the buyer. There is no timeframe, within which the supplier is obliged to do this.
 - c. **The supplier** must print presentation of the NF-e – DANFE, and attach it to the shipped merchandise
 - i. Customs agents and patrolling police scan DANFE to ensure shipment matches the cleared NF-e
 - d. **Notably, the supplier** should as well share the cleared NF-e with the transporter, who is required to generate and clear CT-e based on information available in the NF-e, prior to commencing the transportation service.
 - e. Only cleared document has tax validity
5. **If the document has been rejected or denied** by SEFAZ, the supplier shall correct what has caused the rejection and resend the same document alt. cancel document number and issue a new correct document.
6. **The buyer** is required to validate with the SEFAZ of the supplier the issued NF-e.
 - a. In certain cases, the buyer is obliged to issue MD-e to the supplier, see below.

For a flow-chart of the above, please refer to section 11 of this document.

5.3.1.2. CT-e

All CT-e must be issued within the same calendar month when the service is rendered.

1. **The transporter** (or branch, if applicable) must generate an electronic file in the local XML format following the CT-e requirements containing the relevant tax information of the commercial transaction, which must be digitally signed with e-NFE certificate and keys issued to the supplier or the branch to ensure I&A.
2. **The transporter** must clear CT-e with SEFAZ of the transporter before the shipping.
 - a. Trucks without proper documentation are stopped and released only after fines are paid. On the receiving side, many companies will not allow a truck to unload with an incorrect invoice.
3. **The SEFAZ infrastructure** will validate the content and integrity of the document, and either approve, reject or deny the transaction
 - a. There is no established response time SLA, due to the contingency mode. From practice, the response time is within minutes.
4. **If the CT-e has been approved:**
 - a. **The SEFAZ** of the transporter's jurisdiction will transmit the document to (i) the RFB (the Federal Revenue Service) and AN (the National Environment) as the national repository of all issued documents, and (ii) the SEFAZ of the tomador's jurisdiction or SUFRAMA, in case of transactions with States that belong in this entity
 - b. **The transporter** must distribute the CT-e with Authorisation (can be embedded) and, optionally, a graphic presentation DACTE to the tomador. There is no timeframe, within which the supplier is obliged to do this
 - c. **The transporter** must print presentation of the CT-e – DACTE, and attach it to the shipment
 - i. Customs agents and patrolling police scan DACTE to ensure shipment matches the cleared CT-e
 - d. Only cleared document has tax validity
5. **If the document has been rejected or denied** by the SEFAZ, the transporter shall correct what has caused the rejection and resend the same document alt. cancel document number and issue a new correct document.
6. **The tomador** is not obliged to validate with the SEFAZ of the transporter the issued CT-e, this is however, the common practice.
 - a. The tomador has the option to issue Disagreement event to notify if he is not the right party to pay for the services under the CT-e.

For a flow-chart of the above, please refer to section 11 of this document.

5.3.1.3. MDF-e

1. Once valid NF-e and/or CT-e have been generated, **the transporter** (or branch, if applicable) must generate an electronic file in the local XML format following the MDF-e requirements within the Access Key (pt. *Chaves de acesso*) of NF-e/CT-e prior

to commencement of the transportation, which must be digitally signed with e-NFE certificate and keys issued to the supplier or the branch to ensure I&A.

2. **The transporter** must clear MDF-e with Virtual SEFAZ Rio Grande do Sul
 - a. Trucks without proper documentation are stopped and released only after fines are paid. On the receiving side, many companies will not allow a truck to unload with an incorrect invoice.
3. **Virtual SEFAZ Rio Grande do Sul** will validate the content and integrity of the document, and either approve, reject or deny the transaction:
 - a. There is no established response time SLA, due to the contingency mode. In practice, the response time is within minutes.
4. **If the MDF-e has been approved:**
 - a. **Virtual SEFAZ Rio Grande do Sul** is the national repository of all issued documents, which will be made available to the RFB (the Federal Revenue Service) and the UFs or SUFRAMA, in case of transactions with States that belong in this entity
 - b. **The transporter** must print presentation of the MDF-e – DAMDFE and attach it to the shipment. Customs agents and patrolling police can scan DAMDFE to ensure shipment matches the cleared CT-e.
 - c. Only cleared document has tax validity
5. **If the document has been rejected or denied, the transporter** shall correct what has caused the rejection and resend the same document alt. cancel document number and issue a new correct document.
6. **Once the transportation of the goods was concluded**, the transporter must generate Closure event (pt. *Encerramento*) informing SEFAZ that the goods have been delivered.
 - a. It is not be possible to authorize new MDF-e for the same loading and unloading UFs and license plates.

For a flow-chart of the above, please refer to section 11 of this document.

5.3.1.4. NFS-e⁴

All NFS-e must be issues within the same calendar month when the service is rendered. NFS-e can be created either manually by using the municipality's portal, or in automated manner by converting RPS into NFS-e via the municipality's web service.

Below is the description of the automated way of NFS-e issuance:

1. **The supplier** (or branch, if applicable) must generate and electronic file in the local XML format (RPS or Provisory Receipt of Service) containing the relevant tax information of the commercial transaction
 - a. Application of e-Signature with e-NFE certificate and keys is optional in some municipalities (e.g. Rio de Janeiro), while mandatory in others (e.g. Sao Paolo). In other municipalities it might be required for web service

⁴ Based on examples of São Paolo and Rio de Janeiro

authentication and access to the municipal portal. This requirement varies municipality to municipality.

2. **The supplier** must submit the RPS to the municipality of the supplier for clearance within specified timeframe, however, still within the same calendar month:
 - a. Rio de Janeiro within 20 calendar days,
 - b. Sao Paolo within 10 calendar days, but no later than the 5th day of the month following the transaction.
 - i. The most important is the time, when the RPS is submitted to the municipality for clearance. For example, if RPS is submitted at 23.59 on 31.08.2020, this will be considered as the time for the business transaction and not the date of issuance of the NFS-e, e.g. 01.09.2020. The NFS-e file will include both dates. The ISS is paid based on the date of the issuance of RPS.
 - ii. RPS issued after the month close may result in fines and penalties.
3. **The municipality** will validate the content and integrity of the RPS, and either authorise or reject the transaction
 - a. **If authorised**, then the municipality will send to the supplier a valid NFS-e. There is no SLA established for this process. Only the NFS-e generated by the municipality provides full fiscal value for both trading parties. RPS without NFS-e has no fiscal value for either of the parties.
 - b. **If rejected**, the supplier shall correct what has caused the rejection and resend the same document.
4. **The supplier**, upon reception of the NFS-e, has to provide to the buyer a printed version of both RPS and NFS-e, unless e-mail delivery is requested by the buyer.
 - a. When NFS-e is exchanged over e-mail it is allowed to either have URL to the file or the NFS-e file itself.
 - b. The supplier may choose whether to provide RPS first to the buyer, followed by NFS-e later, once the municipality has cleared the RPS and created NFS-e, or to provide both RPS and NFS-e together in single exchange.
5. **The buyer** is not obliged to validate the received document
 - a. The buyer has, however, the possibility, but not a requirement, to issue *Aceite* to the supplier accepting or rejecting the transaction electronically.

For a flow-chart of the above, please refer to section 11 of this document.

5.3.2. Cross-Border

There are no explicit regulations requiring Brazilian taxpayers to clear export invoices or similar fiscal documents with SEFAZ or municipalities.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country.

5.4.1.1. NF-e / CT-e

Upon receipt of the e-document, the buyer or the contractee (pt. *tomador*) is required to verify the validity, authenticity and integrity thereof and the existence of the Authorization. This can be done either manually or in an automated manner.

SEFAZ will return the following types of messages:

- Authorized,
- Denied,
- Non-existent, and
- Cancelled.

There is no legal deadline for validation e-invoices. However, as the supplier may cancel NF-e or CT-e within 24 hours from issuance, it is recommended that receiver validates the invoice after such period.

In the event of contingency using EPEC or FS-DA mode, the receiver will first obtain DANFE or DACTE respectively and should receive NF-e or CT-e for validation within 168 hours after the issuance of the presentation.

Depending on the outcome of the validation, the receiver may decide on different types of actions, e.g. adjust, consolidate or correct the invoice.

For a flow-chart of the above, please refer to section 11 of this document.

5.4.1.2. DF-e: fetching NF-e / CT-e from SEFAZ

SEFAZ allows the NF-e / CT-e receiver to download/fetch documents available for the specific receiver directly from their service, instead of waiting to receive the documents from the suppliers. As a default, SEFAZ allows download / fetch of documents issued in the last 3 months.

The process of fetching of available invoices is referred to as **DF-e**.

5.4.1.3. NFS-e

Validation of the received NFS-e by the buyer is not required, as NFS-e is issued only by the respective *Prefeitura* upon successful clearance of RPS issued by the supplier. The feature to additionally validate the received NFS-e is, however, available in some municipalities.

Some municipalities may provide a service that allows the buyer to fetch NFS-e automatically from the platform of the municipality, instead of waiting to receive the invoices from suppliers.

For a flow-chart of the above, please refer to section 11 of this document.

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices.

There are no explicit regulations requiring Brazilian taxpayers to clear or validate import invoices or similar fiscal documents with SEFAZ or Prefeituras.

5.5. AoR (response) process

5.5.1. NF-e

[Manifestação do Destinatário](#) or MD-e event is mandatory only in certain industries, e.g. distribution of gasoline, drinks (soda, alcohol, etc.) and cigarettes, but it has become common generally by various types of taxpayers (as a fraud prevention mechanism). There are different possible MD-e's and each of them has a specific deadline to happen.

Below are the most common MD-e's that can be issued by the buyer:

1) Receipt acknowledgement

This event means that the recipient is aware of the issuance of NF-e against his CNPJ ID, however, has not validated the transaction commercially.

2) Transaction confirmation (Accept or Reject)

This event is issued when the goods have been received. After this, it is no longer possible to cancel the NF-e.

3) Operation not performed

This event is issued when the goods have not been delivered on time or were damaged or wrong goods were received.

4) Unaware of the operation

This event is issued when the recipient did not request the operation described in the NF-e, e.g. if the recipient is wrong.

MD-e event must be issued within 30 days for operations within the same state and within 60 days for inter-state operations.

A **cancellation check** must therefore be performed by the issuer to ensure that the invoice has not been cancelled. Typically, it's done twice: once when the NF-e is stored and then repeated 7 days later.

5.5.2. CT-e

The *tomador* can issue Disagreement for CT-e (pt. *Evento de Desacordo*). The Disagreement is issued when the CT-e was issued to a wrong *tomador* or where there are discrepancies between the CT-e and the service provided. This event is optional, i.e. not mandatory, to be issued by the *tomador*. The Disagreement cannot be cancelled, denied, or have an associated CT-e substitution.

The deadline to register the Disagreement event with SEFAZ is 45 days from the date of clearance of the original CT-e. Under certain circumstances, if the CT-e needs to be cancelled and replaced, the timeframe can be extended to 60 days.

5.5.3. MDF-e

Not applicable.

5.5.4. NFS-e

In most municipalities do not provision for the buyer to electronically accept or reject the received NFS-e. Example municipality, where this is required is Sao Paulo, where issuance of acceptance or rejection notification by the buyer as well impacts the rectification process.

5.6. Mandatory infrastructure validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

5.6.1. NF-e and CT-e

SEFAZ performs multiple validations, which differ for [NF-e](#) and [CT-e](#).

SEFAZ then reverts with Authorisation, Rejection or Denial:

- **Authorisation** means that the document has been issued and cleared by SEFAZ and transportation of the goods is approved. The mandatory infrastructure will store the document for consultation for a 5-year period, however, the taxpayer is required to perform own archiving.
- **Rejection of the file** means that the document was not cleared by the mandatory infrastructure (typically, due to content error). In this scenario, SEFAZ will not store the document. Rejection will always include error codes and respective error message, which can be found in the Taxpayer Integration Manual.
 - The following are examples of what may triggers a Rejection:
 - Error in the file processing.
 - Error in the validation of the authenticity or integrity of the document.
 - The issuer is not registered to issue electronic invoices.
 - The duplicity of the invoice.
 - Error during the reading of the number of the invoice.

- The supplier shall correct what has caused the rejection and resend the same document alt. cancel ("skip") document number and issue a new correct document.
- **Denial of the issuance** occurs either when the taxpayer is no longer authorized to issue document, or the receiver is no longer authorised to receive the document. This happens for instance when the CNPJ or state registration has been suspended.
 - In this scenario, SEFAZ stores the document with the status "Denied". The error may not be corrected through the NF-e re-transmission. The taxpayer must understand the reason for the denial before taking any measures related to NF-e itself.

5.6.1.1. Data exchange between SEFAZ's

Notably, the SEFAZ of each state are exchanging the invoicing information, i.a. NF-e and ST-e with each other. There is always certain delay in such exchange, however, typically, the data provided do one SEFAZ will be available with other SEFAZ within 1 hour.

5.6.2. NSF-e

The municipality infrastructure performs perform multiple validations, relevant for the municipality. For example, validations for Sao Paolo can be found [here](#) and for Rio de Janeiro can be found [here](#).

The municipality infrastructure then reverts with Authorization or Rejection (there is no Denial status for NFS-e):

- **Authorization** means that the document was issued and approved in the municipality. The municipality will store the document for consultation during a 5-year period.
- **Rejection** means that the document has been issued, but not cleared by the mandatory infrastructure (typically, due to content error). In this case, the municipality will not store the document. The issuer will have to correct the error and resubmit the RPS.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

5.7.1. NF-e

DANFE (*pt. Documento Auxiliar da Nota Fiscal Eletrônica*) is the graphical representation of the NF-e. DANFE is not an NF-e substitute, as it has no fiscal value, but merely an auxiliary

document to aid NF-e consultation, as it contains an access key needed to confirm the existence of the original NF-e. It contains a barcode and may also contain other graphics.

DANFE must be printed on plain paper and attached to the goods while these are in transit.

The objectives of DANFE are to:

- monitor the transit of goods,
- serve as a proof of delivery of the goods, by receiver signing it,
- provide for the need for additional printed representations expressly provided for in the legislation, and
- assist the bookkeeping of the NF-e by the recipient not accredited as NF-e issuer.

DANFE is also used in the FS/FS-DA contingency process; in this case DANFE will contain FS/FS-DA specific information and must be printed on official paper.

CC-e is not required to be attached to DANFE or travel with the goods.

5.7.2. CT-e

DACTE (*pt. Documento Auxiliar do Conhecimento de Transporte Eletrônico*) is the graphical representation of the CT-e. DACTE is not a CT-e substitute, as it has no fiscal value, but merely an auxiliary document to aid CT-e consultation, as it contains an access key needed to confirm the existence of the original CT-e. It contains a barcode and may also contain other graphics.

DACTE must be printed on plain paper prior to commence of the transportation service and always carried with the vehicle during transportation.

The objectives of DACTE are to:

- track the goods during transportation, providing basic information about the service in progress (values, recipient, issuer),
- store the numeric key with 44 positions for possible CT-e information query, and
- assist the bookkeeping of the CT-e by the recipient not accredited as CT-e issuer.

CC-e is not required to be attached to DACTE or travel with the goods.

5.7.3. MDF-e

DAMDFE (*pt. Documento Auxiliar do MDF-e*) is the graphical representation of the MDF-e. DAMDFE is not MDF-e substitute, as it has no fiscal value, but merely an auxiliary document to aid MDF-e consultation, as it contains an access key needed to confirm the existence of the original MDF-e. It contains a barcode and may also contain other graphics.

DAMDFE must be printed on plain paper prior to commence of the transportation service and always carried with the vehicle during transportation.

CC-e is not required to be attached to DAMDFE or travel with the goods.

5.7.4. NFS-e

No explicit requirements or regulations around RPS layout, as long as the presentation includes all information required in the RPS it represents. Since the infrastructures of the *Prefeituras* have the function of generating the graphic representation, it's not uncommon to use a presentation generated by this infrastructure.

RPS can as well be used for contingency invoicing.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

5.8.1. NF-e / CT-e

Exchange of these documents (in XML and, optionally, presentations) between the trading parties is mandatory and may be done through any method agreed between the parties. Both the file itself can be exchanged, as well as the link where the file can be downloaded.

Notably, the NF-e must be communicated to any third-party transport company before the transport of the goods starts. Such an obligation must be fulfilled by the party to the transaction that has acquired the transport service – the seller/supplier of the goods.

In practice, it is very common that the supplier either uses e-mail of the transporter or they have EDI to exchange the necessary document. However, if the supplier at the moment of issuance of the NF-e is aware of who the transporter is, they can state this information in the NF-e, so that the transporter can fetch such NF-e designated to him directly from the transporter's SEFAZ infrastructure.

5.8.2. MDF-e

MDF-e does not require any distribution.

5.8.3. NFS-e

According to the regulations, NFS-e (or RPS, e.g. in the contingency scenario) must be exchanged either in paper or via e-mail, depending on the agreement between the trading parties.

- The supplier may provide either a link to the NFS-e or the file itself.
 - Some municipalities, e.g. Londrina, require that only the link to NFS-e is provided by the supplier to the buyer, i.e. NFS-e file may not be distributed
- NFS-e can be provided either together with RPS or afterwards, upon clearance by the municipality.

Specifically, for the NFS-e:

- In some municipalities, e.g. Sao Paolo, the buyer has the option to receive/fetch NFS-e via the municipality, by actively selecting that option in the platform of the municipality. This possibility is, however, not available in most municipalities.
- The supplier can still distribute the NFS-e to the buyer, there are no restrictions to sending and receiving same NFS-e twice.

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

Already cleared invoice can be rectified in Brazil by using the so called “complementary events”. A complementary event is an electronic document signed with digital certificate. Their issuance follows the same process as e-invoices. Detailed information can be found by [the following link](#).

The Brazilian regulations foresee various ways how to rectify a cleared e-document. This section will present these methods in an order of how commonly they are used by the Brazilian businesses:

- Full credit:
 - Invoice cancellation (most common)
- Partial credit:
 - Correction Letter or CC-e (uncommon)
 - Complementary Invoice or Adjustment Invoice (very uncommon).

5.9.1. Invoice cancellation / full credit

5.9.1.1. NF-e

Cancellation message allows cancellation of already cleared NF-e and must be sent to SEFAZ typically within 24 hours after clearance (the timeframe can, however, vary between different SEFAZ, in some states 72-hour timeframe may be allowed), provided that the transport of the goods has not yet started.

The cancelation must be done through the cancelation request issued in XML format and digitally signed with a digital certificate containing the supplier’s CNPJ.

SEFAZ may accept or reject the cancelation request issuing a digitally signed message that contains an Authorization, the NF-e number, date and hour of reception of the cancelation request, and the cancelation authorization number.

In certain cases, a **Return Invoice** (pt. *Nota Fiscal de Devolução*) may be issued to invalidate NF-e. It is possible to issue a Return Invoice either after the dispatch of the goods by the supplier or after the receipt of the goods by the buyer. In practice, a Return Invoice is issued (i) by the buyer, when a shipment is returned in a non-completed transaction, and

(ii) by the supplier, after the deadline for cancelling an NF-e. The Return Invoice may be issued by the buyer or by the supplier when the other party is not a taxable person.

Return Invoice follows the same schema as a regular NF-e but with the “finNFe” tag set for Devolução/Retorno.

5.9.1.2. CT-e

Cancellation message allows cancellation of already cleared CT-e and must be sent to SEFAZ within 168 hours after clearance, provided that provision of transportation services has not yet started. However, if electronic correction letter (CC-e) has been issued, the CT-e it relates to may not be cancelled.

5.9.1.3. MDF-e

If in the course of transport there is any change in MDF-e (e.g. vehicle license plate, cargo, documentation, driver, etc.), it must be cancelled and a new MDF-e with updated information issued.

Deadline for MDF-e cancellation is within 24 hours from the moment of authorisation.

5.9.1.4. NFS-e

RPS cancellation. RPS can be cancelled before it becomes converted into its corresponding NFS-e, however, some municipalities, such as Sao Paulo and Rio de Janeiro, require that cancelled RPS must be archived to enable reliable audit trail.

NFS-e cancellation. Cancellation of NFS-e can be done either manually by using the web portal of the respective *prefeitura* municipality or via web services.

- The web portal and a manual for how to use it in the municipality of Rio de Janeiro are available at <https://notacarioca.rio.gov.br>
- The web portal and a manual for how to use it in the municipality of São Paulo are available at <http://nfpaulistana.prefeitura.sp.gov.br>

The rules and processes around NFS-e cancellation, including notably the timeframes and conditions for the cancellation, vary significantly among municipalities.

Cancellation and re-issuance of NFS-e is the main mechanism used for service invoices. If NFS-e has been provided to a customer with URL link, the link sent will still be working, but it will show updated information that this NFS-e is cancelled.

NFS-e (Sao Paulo)

NFS-e may be cancelled, however, it must be done prior to payment of the tax and within a maximum of 6 months, counted from the date of issue of the NFS-e.

If the collection guide for tax payment has already been issued, it is necessary to cancel that guide in order to cancel the NFS-e. NFS-e may not be cancelled in cases where the buyer is liable for payment of the tax. After payment of the tax, the NFS-e can only be cancelled through administrative proceedings by contacting the *prefeitura*.

Further, NFS-e cannot be canceled once the buyer has issued an acceptance message (pt. *Aceite*).

NFS-e (Rio de Janeiro)

NFS-e can be cancelled exclusively in the situations where the service has not been rendered or where two identical NFS-e have been issued for the same service. The request for cancellation has to contain the cancellation reason: Issuance error, Service not rendered, Duplicated document, Others.

Cancellation can be done automatically within the legal timeframe of 60 or 120 days depending on the services. The request for cancellation outside of the legal framework will depend on the tax authority evaluation. The issuer has the obligation of communicating the cancellation of the NFS-e to the buyer of the service.

5.9.2. Invoice correction / partial credit

5.9.2.1. NF-e / CT-e

In order to correct or amend an already issued invoice, the issuer has two options, depending on the underlying errors:

- 1) **Correction Letter** or CC-e (pt. *Carta de Correção Eletrônica*) – for errors that do not affect relevant tax data,
- 2) **Complementary Invoice** (pt. *Nota Fiscal Complementar*) or **Adjustment Invoice** (pt. *Nota Fiscal de Ajuste*) – for errors that affect the relevant tax data.

Correction Letter / CC-e

CC-e must be issued in XML format and digitally signed. SEFAZ will accept or reject the CC-e request issuing a digitally signed XML that contains an Authorization, the NF-e number, date and hour of reception of the request, and the request authorization number.

CC-e can be issued in the following scenarios:

- Operation and Provision Tax Code (CFOP), as long as it does not change the nature of the taxes,
- Tax Status Code (CST), as long as there is no change in tax values,
- Weight, volume, packaging of the item, as long as there is no change of the invoiced quantity of the product,
- Despatch date, provided it is in the same ICMS calculation period,
- Carrier data - address of the recipient, as long as it does not change completely,
- Recipient's corporate name, as long as it does not change completely,
- Add or change additional data, for example, carrier, name of the seller, order number.

CC-e may not amend the following data elements:

- The variables that serve as a base for the calculation of the tax such as the tax basis, tax rate, price, quantity and transaction cost,

- The seller's or the buyer's data,
- Date of issuance of the NF-e or the dispatch of the goods.

CC-e can be issued up to 720 hours (30 days) from the NF-e or CT-e clearance. Multiple CC-e may be issued to single NF-e. Likewise, a CC-e may be adjusted by another CC-e. In such event, all the changes must be consolidated in the last CC-e issued.

There is no text standard for CC-e, but the issuer has an obligation to clearly and objectively describe the correction. In addition, there is a field called "new value" - in this free space a minimum of 15 and a maximum of 1.000 characters are allowed, which cannot have accents or special symbols.

Complementary Invoice

The Complementary Invoice, along with the original invoice, represents the real transaction performed by the parties. Only Complementary Invoice must be issued in the following scenarios:

- Tax amounts that determine the tax amount, such as calculation basis, rate, price difference, quantity, transaction amount,
- Correction of registration data that implies changing the sender or recipient,
- Description of the merchandise that changes the tax rates,
- Tax or any other data that alter the tax calculation or operation,
- Complementary invoice can be issued both to increase and to decrease amounts, so in that sense it works very similar to credit and debit notes.

The Complementary Invoice can as well be issued to add data or values not previously informed in the NF-e or CT-e.

Adjustment Invoice

The Adjustment Invoice is used to settle differences in the ledgers. Adjustment Invoices do not refer to specific transactions, but must be issued for accountancy purposes such as the transfer of tax credit, etc.

5.9.2.2. MDF-e

None of the above is foreseen for MDF-e, i.e. cancellation is the only rectification mechanism.

5.9.2.3. NFS-e

The process to correct or replace NFS-e varies significantly among the municipalities. Practically, taxpayers prefer the full crediting process (cancellation and re-issue of invoice).

NFS-e (Sao Paulo)

For NFS-e, Complementary Invoice or Correction letter mechanism does not exist. However, in case of certain errors, an NFS-e can be substituted by a new one. For Sao

Paolo, this information is specified in <http://notadomilhao.prefeitura.sp.gov.br/cidadao/informacoes-gerais>. If it is done within 6 months from issuance, substitution can be automatically via web services. Otherwise, an administrative procedure must be followed by contacting the *prefeitura*.

NFS-e (Rio de Janeiro)

For NFS-e, Complementary Invoice or Correction letter mechanism does not exist. However, in case of certain errors, an NFS-e can be substituted by a new one. If it is done within 60 or 120 days (depending on the service) substitution can be automatically via web services through the system. Otherwise, an administrative procedure must be followed by contacting the *prefeitura*.

5.9.3. Document number cancellation⁵

5.9.3.1. NF-e and CT-e

One of the controls performed by SEFAZ is that all documents have unbroken sequential numbering range, meaning that there is no gap between the numbers, which might indicate that a document was omitted from being submitted to SEFAZ. However, there might be a number of technical reasons which make it impossible for the issuer to maintain the sequential numbering.

This feature allows the issuer to communicate to SEFAZ, until the 10th day of the subsequent month, the document numbers of NF-e or CT-e, which will not be used in because there was a sequence break from the numbering. It is, typically, initiated from taxpayers ERP, but can as well (less preferable) be done manually via middleware. Such request must be sent in XML format and digitally signed. SEFAZ will accept or reject the number cancellation request issuing a digitally signed XML that contains an Authorization, the NF-e number, date and hour of reception of the number cancellation request, and the request authorization number.

Skipping may only be done for the documents not yet approved by SEFAZ. To illustrate some examples:

- Document has been rejected by SEFAZ, however, the issuer cannot solve the rejection reason and decides to issue a new invoice. In this case, if the prior invoice was #1 and the rejected one was #2, the issuer will send cancellation for #2 and issue a new invoice #3.
- The issuer knows that due to an error or change in the software it will not be able to issue invoice #4, it will send a cancellation and thereafter submit invoice #5 to SEFAZ

5.9.3.2. MDF-e

Number skipping is not foreseen for MDF-e.

⁵ Can sometimes be referred to as "skipping"

5.9.3.3. NFS-e

Not applicable.

5.10. Contingency invoicing

Contingency is a state in which, for whatever reason, the internet connection between the taxpayer's system and the mandatory infrastructure is interrupted, leading to the inability to issue fiscal e-documents online in real-time. E-documents issued in contingency mode have the same fiscal value as those issued in the standard process.

5.10.1. NF-e / CT-e

There are three contingency modes for NF-e and CT-e, organised below in the order of how common they are being used on the most recent implementations by taxpayers:

- SVC contingency,
- EPEC contingency, and
- Security form (FS-DA).

The taxpayer alt. the service provider contracted by the taxpayer on its behalf, has to choose either one of the modes or in which order they want to deploy each mode. The taxpayer is free to select any model, typically, depending on the configurations in their own systems.

There is no requirement to obtain authorization from the tax entity to use any of the contingency options.

FS-DA has been the main model for a long time, however, now it has been more and more replaced either by SVC (predominantly) or EPEC.

5.10.1.1. SVC contingency

SVC contingency (pt. *SEFAZ Virtual de Contingência*) is the contingency model under which the NF-e is being cleared by SEFAZ of another state, then issuer's own. This framework behaves as a redundant process, meaning that if one SEFAZ is unavailable, the transmission is routed to a different SEFAZ.

In this framework, the DANFE can be printed, and the taxable person is not required to transmit the NF-e to the SEFAZ where the taxpayer is registered after the contingency scenario has passed.

There are two alternative contingency authorization sites for SVC contingency model:

- 1) SVAN – Virtual SEFAZ of the National Environment (Emission Type 6);
- 2) SVRS – Virtual SEFAZ of the state Rio Grande do Sul (Emission Type 7).

The individual SEFAZ authorizers are obliged to adopt one of the two available CVS's, as defined in ACT COTEPE 39:

- 1) SVAN has been chosen by: Acre, Alagoas, Amapá, Minas Gerais, Paraíba, Rio de Janeiro, Rio Grande do Sul, Rondônia, Roraima, Santa Catarina, Sergipe, São Paulo and Tocantins and the Federal District; And
- 2) SVRS has been chosen by: Amazonas, Bahia, Ceará, Espírito Santo, Goiás, Maranhão, Mato Grosso, Mato Grosso do Sul, Pará, Pernambuco, Piauí, Paraná and Rio Grande do Norte.

The taxpayer must change the parameters of the call, prior to sending NF-e or CT-e, by amending the Access Key.

5.10.1.2. EPEC contingency

This contingency model is based on the concept of A Prior Contingency Issuance Event - EPEC, which contains the main information of NF-e which will be issued in contingency by submitting to the National Environment (pt. *ambiente nacional*, AN). It will allow issuance of a provisional DANFE.

A taxable person making use of this alternative must transmit the NF-e or CT-e to the competent SEFAZ as soon as the contingency scenario finishes, but not after 168 hours from the transmission of the document. The DANFE generated in this contingency mode must state the EPEC authorization protocol, the motive for the contingency mode and the time when the contingency status was triggered.

Once the reason for contingency has passed, the taxpayer must resubmit NF-e/CT-e for clearance in Normal model. When re-submitting in the normal mode, the same Access Key must be used as for EPEC.

The issuance process in the EPEC mode looks as follows:

- Generate the NF-e / CT-e with "tpEmis = 4", the reason for entry into contingency with date and time of the beginning of the contingency, and a new NF-e / CT-e number compared to what has been transmitted to SEFAZ,
- Generate the EPEC XML file with the following NF-e / CT-e information:
 - UF, CNPJ ID and state registration of the issuer,
 - Access Key (pt. *Clave de Acesso*),
 - UF and CNPJ ID or CPF ID of the recipient,
 - Total invoice value, total ICMS value and total ICMS-ST value,
 - Other information contained in the layout.
- Sign the file with the issuer's digital certificate,
- Send the EPEC XML file to the AN;
- Print DANFE that is included in EPEC, on common paper, containing the mention "DANFE printed in contingency - EPEC regularly received by the Brazilian Internal Revenue Service".

5.10.1.3. Security form (FS-DA)

Security form (FS-DA) is the contingency model that has the least dependence on any infrastructure, hardware and software. This mode is applicable both when SEFAZ or

taxpayer system are not responsive. This is the only way to issue NF-e without an internet connection.

In order to enable FS-DA process, the supplier must engage with printing vendor accredited by SEFAZ. Upon authorisation by SEFAZ to engage with the selected vendor, the supplier may request the printing company to manufacture the FS-DA security forms compliant with the correspondent *Convênio ICMS 96/09, of 11 December de 2009*, which the taxpayer will use for printing such invoices.

A taxable person making use of this alternative must transmit the NF-e or CT-e to the competent SEFAZ as soon as the contingency scenario finishes, but not after 168 hours from the transmission of the document.

When issuing documents in this mode, the taxpayer:

- Create a new NF-e / CT-e compared to the one pending SEFAZ clearance with the following changes or additional content:
 - the value of tpEmis must be "5",
 - the reason for entry into contingency with date and time (incl. minutes and seconds) when this occurred (elements dhCont and xJust), which must be printed on DANFE;
 - new document number and eventually another series (if already transmitted the NF-e / CT-e with the tpEmis field with a value "1");
- Print at least two copies of DANFE on a safety form containing the mention "DANFE in Contingency - printed due to technical problems" (pt. *DANFE em Contingência - impresso em decorrência de problemas técnicos*), where the two copies have the following objectives:
 - One copy will allow the transit of goods and should be archived by the recipient,
 - The other copy should be archived by the supplier.
- Once the reason for contingency ceased, transmit NF-e / CT-e for SEFAZ clearance within the stipulated deadlines,
- the NF-e Access Key is the same DANFE Access Key issued on a Security Form;
- treat NF-e transmitted at the time of the occurrence of technical problems that are pending return.

5.10.1.4. Common for EPEC and FS-DA

Once the contingency scenario is over and the NF-e or CT-e file is (re-)transmitted to SEFAZ, the authority will accept or reject the invoice. If the file is rejected, the issuer must:

- 1) Generate a new file with the same invoice number, series, and fix the errors.
 - a. The fields affecting the amount of tax must not be modified (e.g. tax base, tax rate, quantity of goods, price, etc).
 - b. The supplier's and the buyer's data may not be modified if it results in a change of the supplier or the buyer themselves.
 - c. The date of the issuance or the dispatch of the goods may not be modified.

- 2) Request a new Authorization.
- 3) Print DANFE.
- 4) Deliver the new NF-e and DANFE to the buyer.

The DANFE printed in security forms, the NF-e and the new DANFE must all be archived by the supplier and by the buyer.

5.10.2. MDF-e

When, due to technical problems, it is not possible to transmit MDF-e or obtain clearance from SEFAZ, the taxpayer should follow the process below:

- Generate an XML file, stating that it is a contingency issue,
- Print DAMDFE on common paper with the expression "Contingency",
- Transmit MDF-e file for clearance after the cessation of the contingency circumstances, however, not later than 7 days of DAMDFE printing in contingency.

5.10.3. NFS-e

There is no special contingency mode for issuance and exchange of NFS-e, since RPS can be used and exchanged directly between the supplier and the buyer. In the contingency scenario, the supplier is required to print two copies of the RPS: one copy being for the buyer and one copy being for the supplier.

The supplier is, however, obliged to convert RPS into NFS-e as soon as possible, once the connection has been resumed and provide NFS-e to the buyer upon clearance.



6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	[supported] • NF-e (Goods invoice) [currently not supported] • CT-e (Transport services invoice) • NFS-e (Services invoice) • MDF-e (Aggregation document for truck load with multiple CT-e and/or NF-e) • DF-e for NF-e (Request to SEFAZ to fetch cleared NF-e's or CT-e's) [optional] • NFTS-e (self-billed invoice) • NFC-e (Retail receipt) • BP-e, <i>pt. Bilhete de Passagem</i> (Individual ticket): must be issued by land, rail and water transport (not taxi) companies to their passengers. • CT-e OS, <i>pt. Nota Fiscal de Serviço de Transporte</i> (Group ticket): Bus and airline ticket for a group of passengers, to be issued by companies that have their own vehicle and transport passengers. • NF3-e, <i>pt. Nota Fiscal Conta de Energia Elétrica</i> (Electricity bill) must be issued by electricity's providers. NF3e is has been mandated in all Brazilian states since July 1, 2019, while for the Federal District of Brazil it will come into effect on January 1, 2021. • Nota Fiscal de Serviço de Telecomunicação or Model 22 (Telecom. invoice) must be issued for prepaid services for the fixed telephone (land line), mobile and telephone by Internet (VoIP). • Nota Fiscal de Serviço de Comunicação or Model 21 (Communication invoice) must be issued for TV and internet services.

	• Nota Fiscal Avulsa (Simple Invoice): Invoice issued by natural persons and SME's that do not issue NF-e via this platform <u>Allowed use-cases of paper-based invoicing:</u> • Nota Fiscal de Produto, or Model 4, is the paper invoice used in the agricultural industry, usually by small producers or private persons. Individual state's regulations apply to this.
Documents mandatory for issuance by buyer	• MD-e for NF-e • Disagreement event for CT-e

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

In the framework of their business purposes (i.e. when there are several invoicing sites for one company, self-invoicing, or when there are several clients for which the invoicing rules are different), the taxable persons may use invoicing numbering with a distinct series of numbers as long as the following conditions are met:

- the numbering of the invoices must be chronological at issuance,
- the numbering must be continuous,
- the numbering can be split into separate series if justified by the operations, and
- two invoices issued during the same calendar year may not contain the same number and series (however, same number with different series is allowed).

6.2.2. NF-e / CT-e / MDF-e numbering

NF-e / CT-e / MDF-e must be sequentially numbered from 1 to 999.999.999 per establishment and series. Each taxpayer's establishment may have more than one series. The number sequence must restart when the taxpayer reaches the top number within the series. The series range embraces the interval from 001 to 999. The use of the series interval from 890 to 999 may be limited by the SEFAZ. The use of sub-series is forbidden.

6.2.3. NF-e / CT-e Access Key

For each NF-e and CT-e, the issuer must generate an Access Key. An Access Key has 44 positions and is composed of the fields that are scattered in the layout of the XML:

Field	Field description	Size
CUF	UF code of the issuer of the document	2
AAMM	Year and month of issue of the document	4

CNPJ	CNPJ of the issuer	14
Mod	Fiscal document template	2
Serial Number	Fiscal document series	3
NNF	Fiscal document number	9
BSPR	Form issued by the NF	1
NFC	Numeric code that makes up the access key	8
CDV	Check digit key access	1

6.2.4. NFS-e

RPS should be sequentially numbered, and the document may be rejected by the municipality, if the sequence is broken, depending on the technical specification of the municipal clearance platform.

Additionally, the municipal system normally assigns an invoice series for each of the taxable person's establishments and assigns a new invoice number once it converts RPS into NFS-e.

6.3. Indirect tax (IT)⁶ rates

The Brazilian indirect taxes system is complex and is subject to continuous changes. This section outlines only very general information applicable to each of the taxes mentioned. Although a federal law should be followed, each State issues its own legislation, which brings certain differences compared to the federal law.

As a general rule, the Brazilian indirect taxes system comprises essentially of the following taxes:

- 1) State Value Added Tax (ICMS) and State Withholding Tax (ICMS-ST) – *Imposto sobre circulação de mercadorias e serviços*,
- 2) Federal Value Added Tax (IPI) – *Imposto sobre produtos industrializados*,
- 3) Municipal Service Tax (ISS) – *Imposto sobre serviços*, and
- 4) Federal gross receipt contributions (PIS and COFINS)
 - a. Contribution for Social Integration Program (PIS) – *Contribuição para os programas de integração social e de formação do patrimônio público*,
 - b. Contribution for Social Security Financing (COFINS) – *Contribuição para o financiamento da seguridade social*

6.3.1. State VAT (ICMS)

The ICMS is levied by the individual states in Brazil. The 27 Brazilian states set the level of taxation, but the Brazilian federal government may set the minimum rate. The ICMS

⁶ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

applies to the following transactions carried out in Brazil, even if the transaction begins abroad:

- The circulation of goods
- The importation of goods
- The supply of transportation between states and between municipalities
- The supply of communication services
- The supply of electricity

Exports of manufactured goods and raw materials are exempt from the ICMS.

Tax rate:

- 0% to 35% - for supplies in the same state:
 - The standard ICMS rate is 17%, however, in the states of São Paulo, Minas Gerais and Paraná it is 18%, while in Rio de Janeiro it is 19%.
- 4%, 7% or 12% - for supplies made to a taxable person in a different state:
 - 7% rate generally applies to supplies of domestic goods (with low content of imported inputs) made to taxpayers residing in states located in the northern, north-eastern and central eastern regions of Brazil and in the state of Espírito Santo.
 - 12% rate generally applies to supplies of domestic goods (with low content of imported inputs) made to taxpayers residing in the states in the southern and south-eastern regions of Brazil (except in the state of Espírito Santo).
 - 4% rate generally applies to supplies of imported goods or domestic goods with low content of imported inputs made to taxpayers residing in all other states.
 - If the supply is made to a customer residing in another state who is not an ICMS taxpayer, the supply is taxed at the same rate as transactions made within the customer's state (internal rate) and VAT is to be assessed and collected in two portions, as follows:
 - To the state where the seller is located in the amount equivalent to the interstate rate that would apply in a supply to a regular taxpayer
 - To the state where the customer is located in the amount equivalent to the difference between the customer's state internal rate and the interstate rate. In the first three years, this rate difference shall be shared with the state where the seller is located, as follows: in 2018-80% to the customer's state and 20% to the seller's state
- Some items, such as horticultural products and certain medicines, are exempt from the ICMS.

State Withholding Tax (ICMS - ST): In order to prevent tax evasion, enhance the fiscal control process and allow previous tax collection, the legislation may appoint a single taxpayer of a product's chain as the sole liable party, who will collect the ICMS due by all parties until the final consumer.

6.3.2. Federal VAT (IPI)

The IPI is charged by Brazil's federal government on national and foreign finished goods, where "finished goods" are goods produced as a result of an industrial process, even if the process is incomplete, partial or intermediary. The IPI applies to the following taxable events:

- The shipment of finished goods from an industrial establishment (or similar establishment) in Brazil
- The customs clearance of finished goods of foreign origin

The IPI law provides for several tax incentives if the shipment of goods is related to an export, a sale to a trading company or to plant expansion plans. The IPI tax incentives include the exemption of operations and the granting of tax credits.

Tax rate:

- 0% to 365% - depending on the classification of the goods under the IPI Tariff Table. The table contains 9.728 different classification codes. The IPI Tariff Table uses the same tariff classification system as the Brazilian External Tariff Code (TEC or BTEC),
- The IPI rate varies, depending on how essential the product is considered to be. For example, the zero rate of IPI applies to essential products such as rice and wheat flour, a low rate of IPI (8%) applies to certain products, such as pipes, and the highest rate of IPI (365%) applies to luxury products. Some goods are exempt from IPI.

6.3.3. Municipal Service Tax (ISS)

The ISS is a form of sales tax payable to municipalities in Brazil. It applies to the supply of any services that are not otherwise taxable by the state authorities (ICMS). The general list of taxable services is outlined in federal law (Supplementary Law number 116/03), with the specific services listed in each municipal law.

A foreign company providing services fully provided outside Brazil for the benefit of a Brazilian recipient may be subject to ISS (withheld by the Brazilian entity) even if a non-resident pays for the services.

ISS is a single-stage tax with no right of recovery for ISS previously paid. Consequently, regardless of status, the recipient of a service subject to ISS bears the tax paid as a cost.

In general, ISS is due to the municipality where the service provider is located. One of the exceptions applies to construction services. ISS is levied on construction services in the city where the construction takes place.

Tax rate:

- 0% to 5% - depending on municipality and nature of service. In total, there are 5.564 municipalities in Brazil,

- The ISS law sets the maximum rate at 5%. The ISS rate is generally between 2% and 5%.

6.3.4. Federal gross revenue contributions (PIS/COFINS)

The PIS/COFINS are social contributions based on turnover, which are levied on companies' gross revenue, on a monthly basis. Imports are subject to PIS/COFINS, however, not export.

PIS/COFINS rates may vary depending on the company's activity and on the revenue received.

PIS tax rate:

- 0,65% - for taxpayers taxed under the deemed corporate income tax method of calculation, under the cumulative system,
- 1,65% - for taxpayers taxed under the annual actual income tax method, under the noncumulative system, and
- 2,1% - for customs clearance

COFINS tax rate:

- 3% - for taxpayers taxed under the deemed corporate income tax method of calculation, under the cumulative system, and
- 7,6% - for taxpayers taxed under the annual actual income tax method, under the noncumulative system.
- 9,65% - for customs clearance

Some companies and products are subject to special tax treatment for PIS/COFINS, which apply different rates for some products. For example, the automotive industry pays PIS of 2% and COFINS of 9,6% on specific products. Other industries, such as the pharmaceutical, cosmetics and the beverage industries, also have special treatment for PIS/COFINS.

Some essential items, such as horticultural products and wheat flour, are PIS/COFINS zero rated.

6.3.5. Taxable amount

ICMS. The ICMS calculation basis varies based on the nature of the transaction:

- As **a general rule**, the calculation basis is (1) the value of the goods incl. freight costs if charged separately by the remitting party, plus (2) the IPI amount due if the transaction involves a product to be utilized or consumed or are fixed assets for the purchasing company, plus (3) and amounts charged for assembly and installation, provided this is established in the respective purchase and sale agreement.
- **Provision of services:** for interstate or intermunicipal transportation or communication services, the taxable amount is the price of the service;

- **Imports:** The ICMS is levied on the amount stated in the import documents, converted into BRL at the same foreign exchange rate used on the calculation of the import tax, plus the amount of the import tax, excise tax, and other customs expenses or taxes effectively paid (Supplementary Law 87/96, article 13, item V and article 14);
- For operations subject to the **Withholding Tax** (ICMS ST) the ICMS tax base corresponds to the maximum or sole sales price used by the substituted taxpayer, established by the manufacturer, importer, or by the relevant authority. In the cases where such sales price is not established, tax authorities use to determine a presumed value added margin that is applied by the taxpayer to calculate the ICMS ST.

ISS: In general, the ISS tax base corresponds to the price of the service rendered and/or of the material used for the provision of the service. Exceptions apply in specific cases, such as the materials applied on construction services.

PIS/COFINS: For local market transactions subject to both cumulative and non-cumulative methods of PIS/COFINS taxation, the taxable amount corresponds to the entity's monthly revenue.

- On **import transactions**, the PIS/COFINS taxable amount corresponds to: (i) on the entrance of foreign products in Brazil, the value that would be considered the import duty tax base, plus ICMS and PIS/COFINS itself (excl. the import tax); or (ii) on cases of payment, credit, delivery, employment, or remittance of values to foreign residents as retribution for service provision, the amount paid, credited, delivered, employed, or remitted abroad before income tax payment, plus ISS and PIS/COFINS themselves.
- **Exclusion of ICMS from the PIS/COFINS calculation basis.** On 15 March 2017, the Brazilian Federal Supreme Court (STF) ruled that the inclusion of ICMS in the social contributions (PIS/COFINS) tax basis is unconstitutional. Although there is no regulation regarding the effects of the decision yet, some taxpayers have already reversed the provisions (if any) and/or have already adjusted the calculation method.

IPI: The IPI tax base varies depending on the type of the transaction:

- **Local transactions:** total transaction value, including legal add-backs and deductions,
- **Import transactions:** the value that would be used as tax base for customs clearance, or the total value of the sales operation from the establishment equivalent to an industrial establishment.

Rounding Rules. ICMS rounding rules vary on a state basis, while ISS rounding rules vary on a municipal basis. There are no specific provisions for the federal taxes.

6.3.6. Special schemes

The *Simples* tax regime (Integrated Payment of Taxes and Contributions from Micro and Small Companies) is a simplified tax regime applicable to micro and small companies that meet specific gross revenue thresholds and other legal requirements. The *Simples* regime allows these companies to calculate taxes applying reduced rates and calculation bases, and it also provides them with the possibility of paying several taxes together using one single payment slip, and presenting VAT simplified returns.

6.4. Mandatory IT invoice content

Brazilian document content requirements are quite complex, especially due to the varying e-invoicing regimes, which makes it impossible to even create a minimum schedule. Each document type must be reviewed for itself. All fiscal invoices must be issued in Portuguese.

6.4.1. NF-e

The table below represents an overview of mandatory content requirements for issuance of valid NF-e.

Element	Legal entity		Individual	
	Mandatory	Optional	Mandatory	Optional
Seller Address	x		x	
Invoice Number and Series	x		x	
Access Key graphical format	x		x	
Access Key Number Format	x		x	
Nature of Operation	x		x	
Authorization, Time and Date of NF-e Use	x		x	
Seller State Tax ID	x		x	
Seller State Tax ID Tax Substitution	x		x	
Seller Federal Tax ID	x		x	
Issuance date		x		
Date of good receipt		x		
Sign of Customer		x		
Invoice Number and Series		x		
Customer Name	x		x	
Customer Federal Tax ID	x		x	
Invoice Date	x		x	
Customer Address	x		x	

Customer Address Number	X	X
Zip Code	X	X
Date of outgoing Goods	X	X
Customer City	X	X
Customer Phone Number	X	X
Customer Region	X	X
Customer State Tax ID	X	
Time of outgoing goods	X	X
Financial Invoice Number	X	X
Financial Invoice Due Date	X	X
Financial Invoice Amount	X	X
Financial Invoice Amount spelled out	X	X
ICMS Tax Base Amount	X	X
ICMS Amount	X	X
ICMS Tax Substitution Base Amount	X	
ICMS Tax Substitution Amount	X	
Goods total amount	X	X
Freight Amount	X	X
Insurance Amount	X	X
Discount Amount	X	X
Another expenses	X	X
Excise Tax Amount	X	X
Invoice Total Amount	X	X
Name of Carrier	X	X
Shipping paid by (Issuer or Receiver)	X	X
ANTT Code (National Agency of Transport)	X	X
Vehicle Plate	X	X
Region of Carrier	X	X
Carrier Federal Tax ID	X	X
Carrier Address	X	X
Carrier City	X	X
Carrier Region	X	X
Carrier State Tax ID	X	X
Quantity of products	X	X
Type of Products (Box, Kg, Each)	X	X

Brand	x	x
Number	x	x
Gross Weight	x	x
Net Weight	x	x
Product Code	x	x
Product Name	x	x
NCM code	x	x
Code of Tax Situation	x	x
Fiscal Code of Operation	x	x
Unit Measure	x	x
Quantity of products	x	x
Unit Price	x	x
Total Amount	x	x
ICMS Base Amount	x	x
ICMS Amount	x	x
Excise Tax Amount (when applicable)	x	x
ICMS Tax Rate	x	x
IPI Tax Rate	x	x
Municipal Tax ID (Just for Invoice Services)	x	x
Total Amount of Services	x	x
Tax Base Amount of Services Tax (ISS)	x	x
Service Tax Amount (ISS)	x	x
Additional Information	x	x
Reserved to the tax authorities	x	x

The NF-e must contain information about the transport of the goods. If the NF-e lacks information about the date and hour of the supply, this data must be informed by the supplier through a separate digitally signed XML message (pt. *Registro de Saída*). This process allows the supplier to comply with the legal requirement if it was not able to provide such information in NF-e due to logistic reasons. If the date and hour are not reported through the “*Registro de Saída*” message nor are present in the NF-e, then the date and hour of issuance of the NF-e is considered as the time of the transport. Such legal presumption could have an impact on the VAT liquidation period that the invoice will belong to.

Detailed overview of the content requirements can be found by the following link: <http://www.nfe.fazenda.gov.br/portal/exibirArquivo.aspx?conteudo=URCYvjVMlzl=>

6.4.2. CT-e

<http://www.cte.fazenda.gov.br/portal/exibirArquivo.aspx?conteudo=9qrRlyy61qo=>

6.4.3. MDF-e

<https://dfe-portal.svrs.rs.gov.br/Mdfe/Documentos#>

6.4.4. NFS-e

NFS-e content requirements are not harmonised on state or federal level, and therefore may differ among municipalities.

The following elements are typically required for generation of a valid NFS-e:

Element	Legal entity		Individual	
	Mandatory	Optional	Mandatory	Optional
Invoice Number	x		x	
Date and time	x		x	
Authentication Code	x		x	
Information related to the service provider	x		x	
CNPJ – Federal Tax ID Number	x			x
Municipal Tax ID Number	x		x	
Name of the Service Provider	x		x	
Address of the Service Provider	x		x	
City	x		x	
State	x		x	
Information regarding to the Service User ("TOMADOR DE SERVIÇOS")	x		x	
Name of the Service User	x		x	
CNPJ or CPF – Federal Tax ID Number	x		x	
Municipal Tax ID Number (if applicable)	x		x	
Address of the Service User	x		x	
City where the Service User is located	x		x	
State where the Service User is located;	x		x	
Email of the Service User	x		x	
Service Intermediary	x		x	

CNPJ – Federal Tax ID Number	x	x
Name of the intermediary	x	x
Description of the type of Service	x	x
Total invoice Amount (Gross Value)	x	x
INSS	x	
IRRF	x	
CSLL	x	
COFINS	x	
PIS/PASEP	x	
Municipal Service Code	x	x
Total deduction amount	x	x
ISS tax basis	x	x
ISS rate	x	x
ISS amount	x	x
Other Information – Legislation applicable, date time to collect the ISS, etc.	x	x

- **São Paulo:** http://notadomilhao.prefeitura.sp.gov.br/cidadao/informacoes-gerais/manuais-arquivos/nfe_web_service.pdf/@download/file/NFe_Web_Service.pdf
- **Rio de Janeiro:** https://notacarioca.rio.gov.br/files/manuais/nfse_abrasf_integracao.pdf
- **Additional comments:**
 - Customer ID:
 - If business, CNPJ ID is required
 - If person, CPF ID is optional
 - Discounts: NFS-e don't have a specific field for discounts. Gross amount less the discount is the final amount to be shown on invoice.
 - Net Amount: Not relevant on NFS-e, as the municipality only requires the gross amount from which they will calculate ISS.
 - Tax Amount: Not relevant on NFS-e, as the municipality will calculate the tax amount based on the gross amount and the service code provided.
 - Service code: Is the element that will define which ISS tax will apply to the specific NFS-e. NFS-e only allows inclusion of one service code, wherefore different invoices have to be issued for services with different service codes.

6.5. Simplified invoice

Simplified invoice or **Nota Fiscal Avulsa** can be issued by private individuals or SME's, not obliged to issue NF-e. Issuance of this document type can be done on SEFAZ portal.

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

Brazilian tax legislation only allows the following documents to be used for correcting information included on tax documentation.

- **For correction / partial credit:**
 - Correction Letter (CC-e),
 - Complementary Invoice,
 - Adjustment Invoice,
- **For cancellation / full credit:**
 - Cancellation,
 - Return invoice.

Credit and debit notes are used when the original tax documents indicate a quantity of goods that are higher or lower than the amount effectively sent. Despite their frequent acceptance in commercial practices, they are **not tax documents under the Brazilian legislation**, and its inclusion in tax books is prohibited.

6.7. Optional content

Provision of any additional content in the mandatory XML is not regulated. However, the XML has additional field called "complementary information" and "complementary products", which can be used in order to provide at least some additional information.

Where the existing XML schema does not support addition of other information or does not fit all necessary details, the issuer is recommended to include a reference to a commercial invoice, e.g. "Please see the Commercial Invoice for further details".



7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	Required	Not explicitly regulated
Which methods for ensuing I&A are provisioned for	NF-e, CT-e, MDF-e: use of e-Signature mandatory NFS-e⁷ (Sao Paulo): use of e-Signature is mandatory NFS-e (Rio de Janeiro): use of e-Signature is optional	Not explicitly regulated
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	NF-e, CT-e, MDF-e and NFS-e: Issuance "in the name and on behalf" is not applicable. Outsourcing of technical signing requires supplier's key delegation. An express agreement is advisable	Outsourcing of e-signature validation is allowed. No explicit requirements

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

⁷ Please note that in the NFS-e issuance process, it is the RPS (Provisory Receipt of Service) that must be issued and, where applicable, e-signed by the supplier; as the NFS-e is generated by the respective municipality's system

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	- e-NFE Certificate issued to the taxpayer by the Brazilian Public Key Infrastructure (pt. <i>Infraestrutura de Chaves Públicas Brasileira - ICP-Brasil</i>), who is the main certification authority in Brazil and delegates its certification functions to selected entities. These entities issue, distribute, revoke, and manage end-user certificates. - e-NFE can be valid for 1 or 3 years and has to be renewed by the taxpayers directly For NFS-e. Different CNPJs are assigned to the head office and the taxpayer's branches and establishments. Some, however, not all, municipalities admit that certificates issued to the main office are used by branches/establishments to sign RPSs when the signature is a requirement. Therefore, the taxpayer must ensure that they are using the correct digital certificate issued for specific branch/establishment or apply for an authorization to use shared certificates in the municipality's portal.
Automated e-signing	It is recommended that type A1 is used

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	Not explicitly regulated
Time-stamping of validation data	Not explicitly regulated



8. Document retention

This section describes archiving requirements regarding the eInvoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• NF-e and CT-e ○ SEFAZ-authorized signed XML documents ○ If recipient is not an electronic taxpayer, it should, in addition, store DANFE / DACTE ○ In case of contingency mode (however, not during normal functioning of the systems), DANFE / DACTE must to be stored by both trading parties • MDF-e (applicable only to the issuer) ○ SEFAZ-authorized signed XML documents ○ In case of contingency mode (however, not during normal functioning of the systems), DAMDFE • NFS-e ○ e-Archiving of NFS-e, cancelled NFS-e and NFS-e cancellation response is not required, but common • Some municipalities require archiving of non-converted and cancelled RPS
Requirements to present stored documents in a specific audit format	• No explicit requirements
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• No explicit requirements
Legibility requirements	• No explicit requirements

Retention period for invoices not related to immovable property⁸	• 5 years
Start point of retention period calculation for invoices not related to immovable property	• From date of the issue of the document
Retention period for e- invoices related to immovable property	• 5 years
Start point of retention period calculation for invoices related to immovable property	• From date of the issue of the document
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• 5 years
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• From date of the issue of the document
Outsourced archiving	• Allowed
Archiving abroad⁹ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	• Not explicitly regulated • Online access and download capabilities or offline access for tax authorities must be assured
Other requirements in relation to electronic document retention	• Documents must be stored in such a way as to guarantee their I&A and availability during the storage period • Even though, documents will be stored by respective mandatory infrastructure, the taxpayers must perform their own archiving of the issued and received documents

⁸ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

⁹ In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.7 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• Yes, see section 10.1 further
Transportation documents	• No explicit requirements
Other	•



10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Penalties

The penalty for not submitting an invoice could vary from 10% to 100% of the transaction value.

10.2. E-reporting

In Brazil there are diverse ancillary obligations, depending on the type of activity of the taxpayer, as well as the size of the company and the tax calculation regime. The most important ones for indirect taxes, with information at the operation level, are related to the Public Digital Bookkeeping System, and are EFD ICMS IPI and EFD Contribuições.

Scope Established only

Registration threshold

Affects all companies locally established, whose activities involve the sale of goods or the provision of services.

Summary of the types of data to be reported

There are specific details in each report for each type of data. Please, find below some of the main information required:

- Sales Invoices
- Purchase Invoices
- Services Invoices
- Inventory data
- Accounting information
- Expenses without invoice (Rent, Amortization, depreciation, etc)

- Manufacturing data
- Product Registration
- Client/Provider Registration, and so on.

Submission process

Submissions will be to the Federal or State Tax Authority via an online portal. The process of submissions could be automated from ERP, tax engines, or manually, directly from the portal.

E-Reporting file format TXT/XML

Submission frequency

Most of them are monthly.

Implementation date

The SPED system started to be implemented in 2007 but the specific date for each company depended on the activity performed.

Penalties

In case of misdeclarations of VAT, penalties go from 5% to 100% of the transaction value, depending on the type of error and tax applied. If there is a tax assessment, penalties can reach 150% the transaction value or the tax due, depending on the case being examined by tax authority.

Other useful information

The tax authorities are constantly improving the ancillary obligations to improve the cross-checking of the information provided by the taxpayers, as well as to facilitate reporting. For this reason, there are often changes in the layouts/information required.

10.3. VAT returns and reports

ICMS. ICMS returns must be submitted for monthly periods. The VAT return consists of the following two parts:

- A payment receipt (GARE),
- An ICMS declaration named Digital Tax Accounting (EFDICMS/IPI), which lists all invoice details, including ICMS credits and debits during the period

The specific date for submission depends on the taxpayer's business activities.

IPI. IPI is generally payable every month (depending on the type of products sold), using a payment receipt (DARF). For IPI, the following two different returns are required every month:

- The Declaration for Federal Taxes and Contributions (DCTF)
- The EFD-ICMS/IPI

ISS. ISS is due monthly. A specific payment and return form must be completed each month. ISS payments and returns are generally due monthly, but the rules differ between municipalities. All documents must be retained for a period of five years.

PIS/COFINS. PIS/COFINS taxpayers must submit the DCTF to the federal tax authorities monthly. They must also submit the Digital Social Contributions Accounting (pt. *EFD-Contribuições*) to the federal tax authorities on a monthly basis. PIS/COFINS are due monthly, using a DARF.

Electronic filing and archiving. Monthly electronic filing is required from companies where the detailed throughput of goods and services are to be reported to the authorities.

Annual returns. For specific tax books (e.g., inventory book named Block H embedded in the EFD-ICMS/IPI) there are certain annual electronic filing requirements.

10.4. Other e-invoicing regimes

This section outlines some industry-specific or planned e-invoicing regimes. They have been added in this CCR for information and are not supported by Pagero.

10.4.1. CT-e OS

Knowledge of Electronic Transport for Other Services (CT-e OS - model 67) was established by [The SINIEF Adjustment 09/2007](#). It is a document issued and stored electronically, of digital only existence, with the purpose of documenting transportation services, whose legal validity is guaranteed by the issuer's digital signature and by the authorization of use by the tax administration of the taxpayer's federated unit, before the occurrence of the generating event.

The CT-e OS aims to replace the Transportation Service Invoice (model 7) when used by:

- Travel agency or by carrier, whenever you perform, in its own or chartered vehicle, intermunicipal, interstate or international transportation service of persons;
- Carrier of amounts to include, in relation to each service taker, the services performed, provided that within the period of calculation of the tax;
- Passenger carrier to include, at the end of the tax calculation period, excess baggage documents issued during the month.

The DACTE OS (Electronic Transport Knowledge Auxiliary Document for Other Services) is the simplified graphical representation of CT-e OS and has the function, among others, to contain the access key of the CT-and OS (thus allowing the consultation of your information on the Internet) and, in the case of transport of persons (chartering), to monitor the provision of the transport service.

The consultation of a CT-e OS can be carried out on the Portal of the Department of Finance of Paraná or, alternatively, in the National Portal of CT-e.

more about the project, especially legislation and technical specifications, also accessing the National Portal of CT-e at the www.cte.fazenda.gov.br.

Knowledge of Electronic Transport for Other Services (CT-e OS) (fazenda.pr.gov.br)

10.4.2. GTV-e

The implementation of the electronic delivery slips for valuables (GTV-e) has begun in September 2020. This new e-document will cover the entire shipment, substituting CT-e OS. It can be used in all Brazilian states. Currently, use of the GTV-e is voluntary. Authorities consider mandating it starting from September 2022.

The GTV-e, used as proof of transport of valuable items, is issued and stored electronically. Its legal validity depends on the electronic signature of the issuer and SEFAZ clearance.

GTV-e must fulfill the following requirements:

- Contain information about the goods carried: number of packages/bags, type of valuable (cash, checks, etc.) and the numeric value of each
- Identified by an Access Key containing the following: document number generated by the issuer, its CNJP, and the GTV-e series and number
- Issued in standard XML format
- Numbered sequentially from 1 to 999.999.999, by establishment and by series
- Signed electronically by the issuer

10.4.3. NF3-e

The use of the Electronic Energy Fiscal Note (NF3-e) has become mandatory for all electricity distributors and cooperatives on 1st March 2021. It has substituted the previous electricity invoicing system, where electricity providers issued a monthly magnetic file containing all the invoices from that month. NF3-e is referred to as the model 66.

NF3-e must fulfill the following requirements:

- Numbered sequentially from 1 to 999.999.999, by establishment and series. Numbers will restart when the limit is met
- Contain a numeric code generated by the issuer containing the following: the NF3-e identification key, the issuer's CNJP, NF3-e and issuer's series number
- Issued in standard XML format
- Signed electronically by the issuer

DANF3E representation must be generated to visualize NF3-e and sent monthly to the consumer.

DANF3E must fulfill the following requirements:

- Display all information specified in the technical guidelines
- Contain a bidimensional code with a digital authentication mechanism that allows for the identification of the NF3-e issuer
- Contain SEFAZ authorization code

10.4.4. NF-Com

Another electronic invoice being introduced by the SEFAZ is the Communications Fiscal Note (NF-Com). All Brazilian communications companies will need to issue this document. This project is still under development by the tax authority.

The NF-Com will replace the model 21 communications fiscal notes and model 22 telecommunications fiscal notes, both regulated by the concerted ICMS 115/03 which was published by the CONFAZ.

10.5. Other accounting requirements

This section outlines some accounting / tax requirements / mechanisms in place in Brazil that are sometimes confused with e-invoicing requirements, while they are not. This section should therefore be treated from pure information and clarification perspective, as these features are not supported by Pagero's solution.

10.5.1. ICMS extension request

The ICMS extension request is applicable only to NF-e and indicates to SEFAZ that the title of the goods will transfer to the buyer at a later point of time, for example when the final goods are being produced on buyer's premises.

When ICMS extension request has been issued it means that ICMS does not become payable straight away, but during a period of 180 days. It is possible to issue an Extension Request Event to extend the deadline for another 180 days, so the taxpayer will have a total of 360 days for the collection of ICMS.

10.5.2. GNRE

The National Guide for The Collection of State Taxes (GNRE) is the document used by taxpayers **in interstate sales operations** subject to tax substitution and other taxes due to the state and collected in another unit of the federation.

SEFAZ-PE

To issue GNRE, make inquiries, ask questions or access the legislation that deals with the subject, it is possible to access the [GNRE Online Portal](#). This is a platform created by SEFAZ-PE that centralized the generation of GNRE for 24 FU's – leaving out only Espírito Santo, Rio de Janeiro and São Paulo.

GNRE-SP

To issue GNRE in the state of São Paulo, the taxpayer can choose between [an online platform](#) or an application of his [own](#). However, the issuance of GNRE in favour of other FUs must be done through the GNRE Online Portal or its respective STATE, in the cases of RJ and ES. For more [on GNRE-SP](#).

GNRE-RJ

In the state of Rio de Janeiro it is possible to issue the GNRE [through the Payment Portal](#), on the SEFAZ-RJ website. In cases of the issuance of GNRE in favour of other states, the GNRE Online Portal or its respective UF should also be used, in the cases of SP and ES. For more [on GNRE-RJ](#).

GNRE-ES (DUA)

The Secretary of State for The Treasury of Espírito Santo has created its own system for issuing the Single Collection Payment (DUA) – which includes the issuance of GNRE. Within the [DUA Electronic Issuing System it](#) is possible to issue the document for ICMS collection in operations originating in other UF's. For more [on DUA](#).

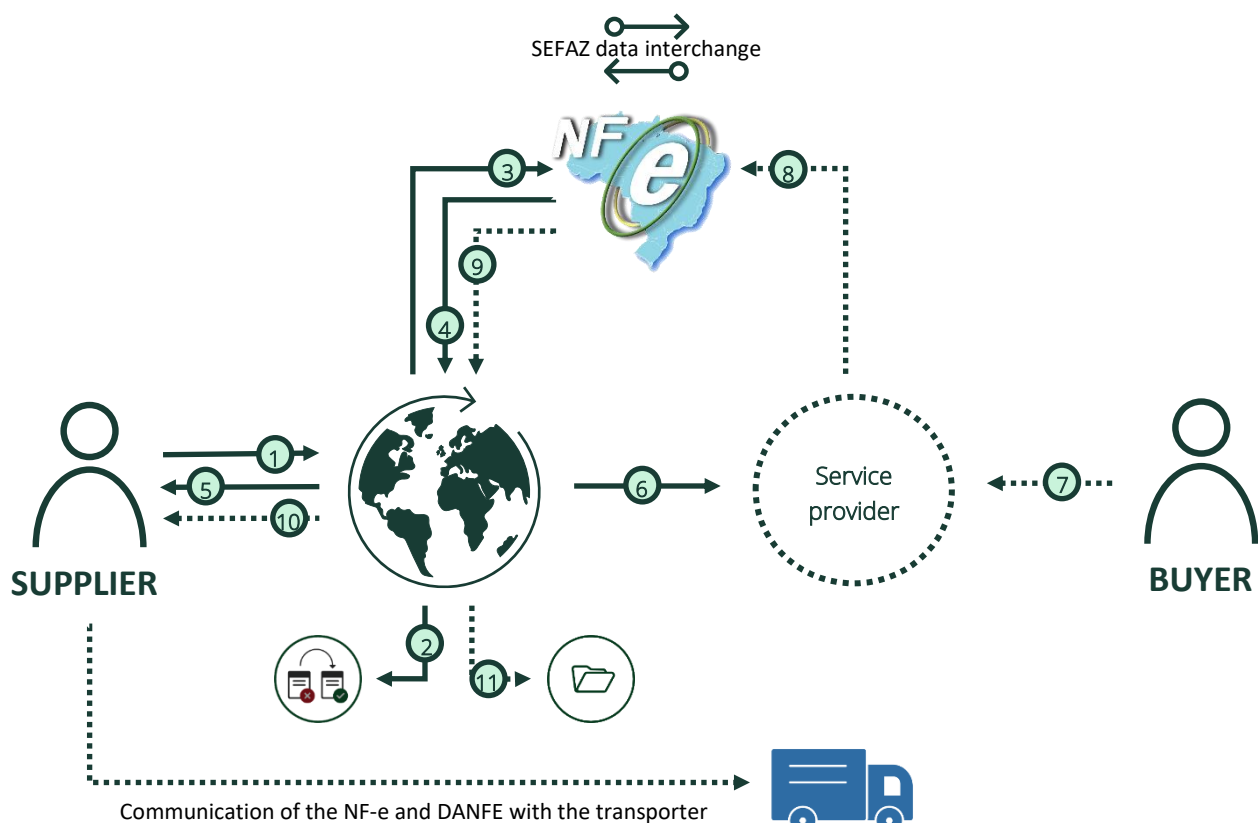
11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

In Brazil, Pagero works with [NDD](#) as our sub-processor to ensure the local requirements.

11.1. Document issuance process with Pagero

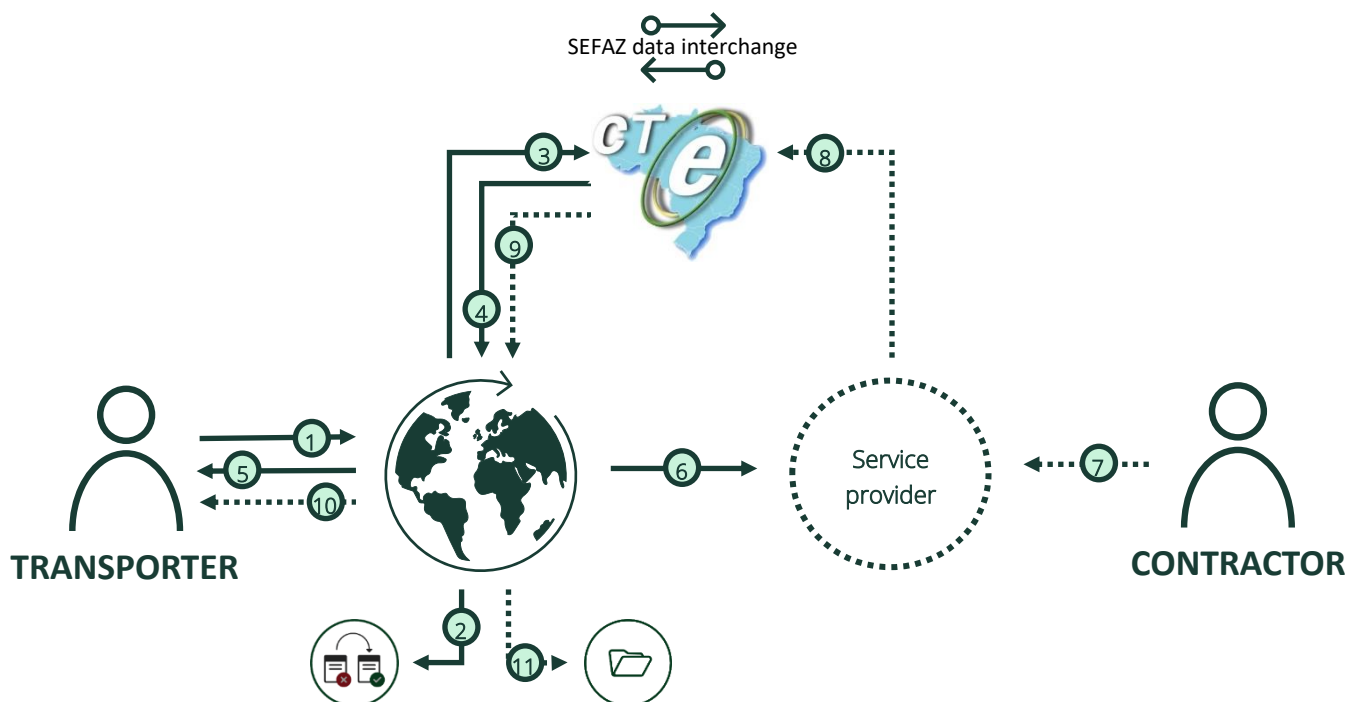
11.1.1. NF-e



- 1) Supplier provides data in supplier preferred format to Pagero
- 2) PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signatures, etc.

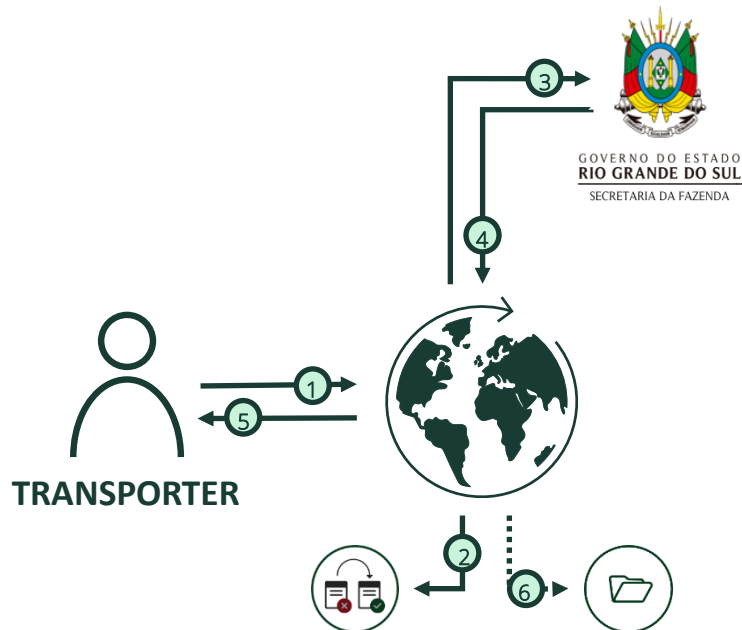
- 3) PAGERO sends NF-e (alt. CC-e, Complementary Invoice or Cancellation) to the supplier's SEFAZ in a mandatory format for clearance
- 4) PAGERO receives the Authorization Code from SEFAZ
- 5) PAGERO sends the NF-e and the Authorization Code to the supplier
- 6) PAGERO sends the cleared NF-e with Authorization code and, optionally, DANFE to the RSP/buyer
- 7) -10) If applicable, MD-e process of NF-e acceptance or rejection for business reasons
- 11) PAGERO archives all relevant document on behalf of the buyer

11.1.2. CT-e



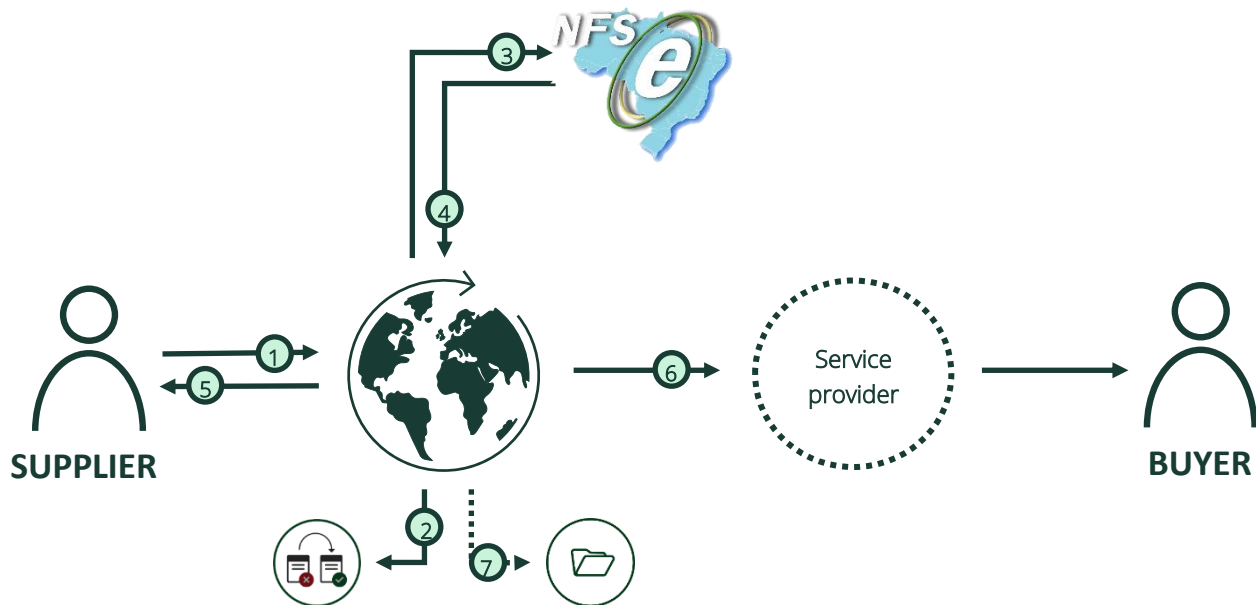
- 1) Supplier provides data in supplier preferred format to Pagero
- 2) PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signatures, etc.
- 3) PAGERO sends the CT-e to the Transporter's SEFAZ in the mandatory format for clearance
- 4) PAGERO receives the Authorization Code from SEFAZ
- 5) PAGERO sends the Authorization Code to the supplier in supplier format
- 6) PAGERO sends the cleared CT-e with the Authorization Code and, optionally, DACTE to the RSP/contractor
- 7) -10) Optionally, the contractor may issue the Disagreement event
- 11) PAGERO archives all relevant document on behalf of the transporter

11.1.3. MDF-e



- 1) The transporter provides data in supplier preferred format to Pagero
- 2) PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signatures, etc.
- 3) PAGERO sends the MDF-e (*alt. Closure event*) to the transporter's SEFAZ in mandatory format
- 4) PAGERO receives the Authorization Code from SEFAZ
- 5) PAGERO sends the MDF-e with the Authorization Code to the transporter, as well as DAMDFE (human readable presentation of the MDF-e)
- 6) PAGERO archives all relevant document on behalf of the transporter

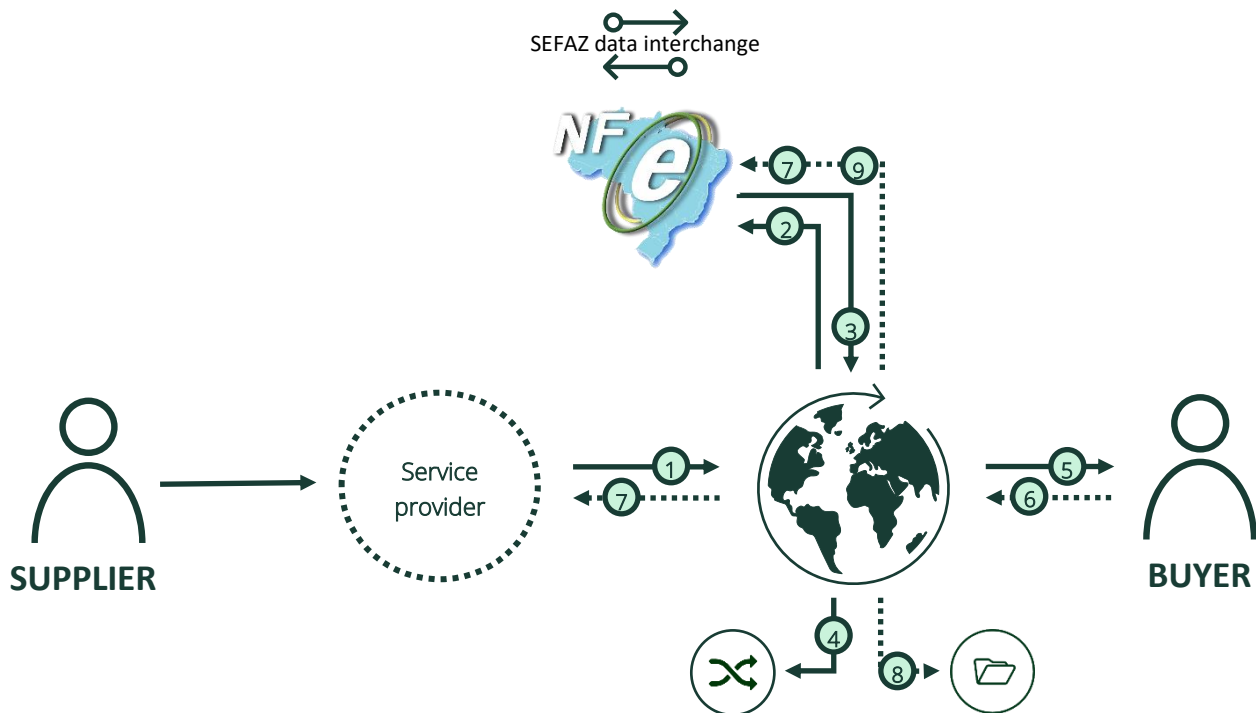
11.1.4. NFS-e



- 1) Supplier provides data in supplier preferred format to Pagero
- 2) PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signatures (where applicable), and creates RPS
- 3) PAGERO sends the RPS to the supplier's MUNICIPALITY in local mandatory format for clearance and generation of the NFS-e
- 4) PAGERO receives the NFS-e from the MUNICIPALITY
- 5) PAGERO sends the NFS-e to the supplier in the mandatory and/or agreed format together with human-readable presentation
- 6) PAGERO sends the NFS-e to the RSP/buyer over e-mail or other agreed method
- 7) PAGERO archives all relevant document on behalf of the supplier

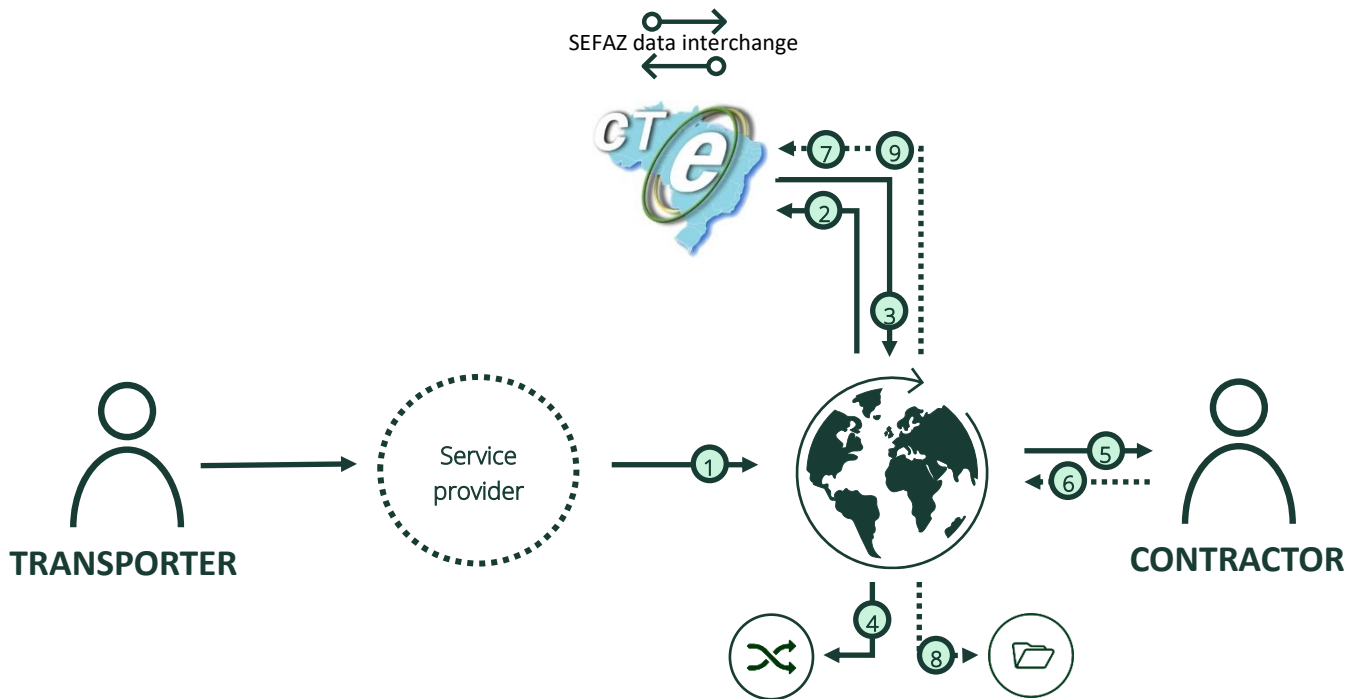
11.2. Document receiving process with Pagero

11.2.1. NF-e



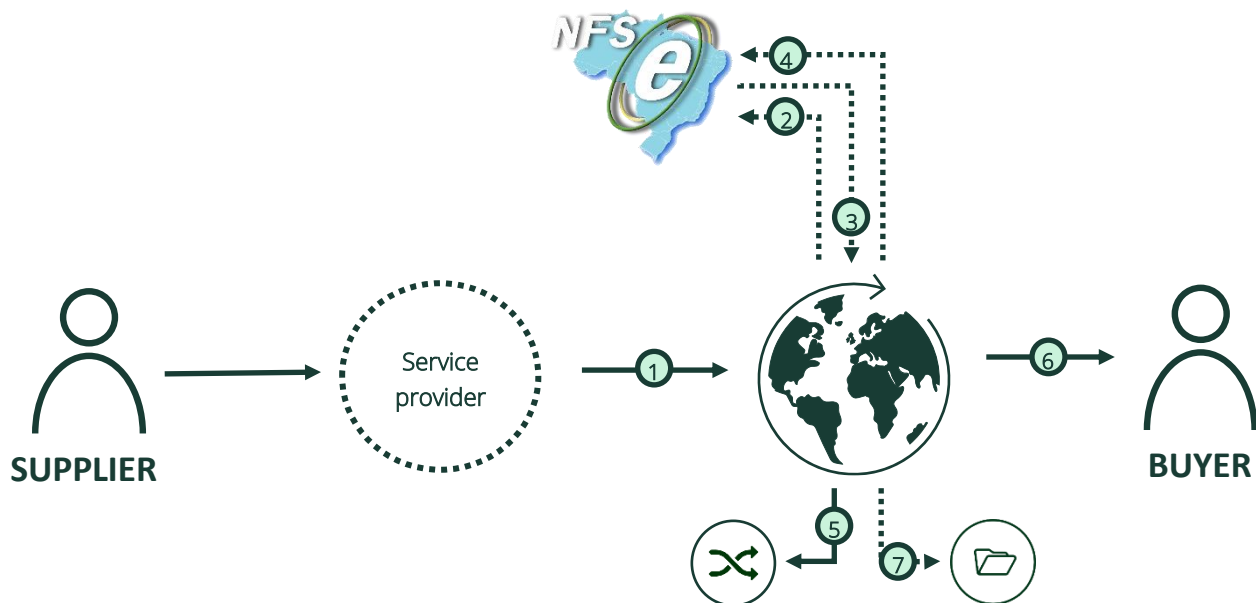
- 1) PAGERO receives the NF-e with the Authorization Code
- 2) PAGERO sends the received NF-e for validation to buyer's SEFAZ
- 3) PAGERO receives Authorization confirmation or mismatch from SEFAZ
- 4) PAGERO performs data content validation, enrichment and conversion, document format conversion, etc.
- 5) PAGERO sends the validated NF-e, Authorization confirmation and other relevant artefacts to the buyer in mandatory and/or buyer format
- 6) -7) *If applicable, PAGERO supports the buyer with the MD-e process*
- 8) PAGERO archives all relevant document on behalf of the buyer
- 9) *If applicable, PAGERO can fetch on behalf of the buyer all NF-e's issued to him directly from SEFAZ*

11.2.2. CT-e



- 1) PAGERO receives the cleared CT-e with Authorization Code from the transporter
- 2) PAGERO sends the received ST-e for validation to contractors SEFAZ
- 3) PAGERO receives Authorization confirmation or mismatch from the SEFAZ
- 4) PAGERO performs data content validation, enrichment and conversion, document format conversion, etc.
- 5) PAGERO sends the validated CT-e, the Authorization confirmation other relevant artefacts to the contractor in mandatory and/or contractor format
- 6) -7) *Optionally, PAGERO supports the buyer with handling of the Disagreement event*
- 8) PAGERO archives all relevant document on behalf of the contractor
- 9) *Optionally, PAGERO can fetch on behalf of the contractor all CT-e's issued to him directly from SEFAZ*

11.2.3. NFS-e



- 1) PAGERO receives the NFS-e from the supplier
- 2) *Optionally, PAGERO can send the received NFS-e to the MUNICIPALITY for validation*
- 3) *Optionally, PAGERO receives Authorization confirmation or mismatch from MUNICIPALITY*
- 4) *Optionally and as alternative to 2-3, PAGERO can fetch on behalf of the buyer NFS-e's issued to him directly from the MUNICIPALITY*
- 5) PAGERO performs data content validation, enrichment and conversion, document format conversion, etc.
- 6) PAGERO sends the NFS-e and other relevant artefacts to the buyer in the mandatory and/or agreed format
- 7) PAGERO archives all relevant document on behalf of the buyer



12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
12 June 2020	Document created
15 October 2021	Multiple changes, clarifications and new information added
27 July 2023	10.1: Added penalties and E-reporting